

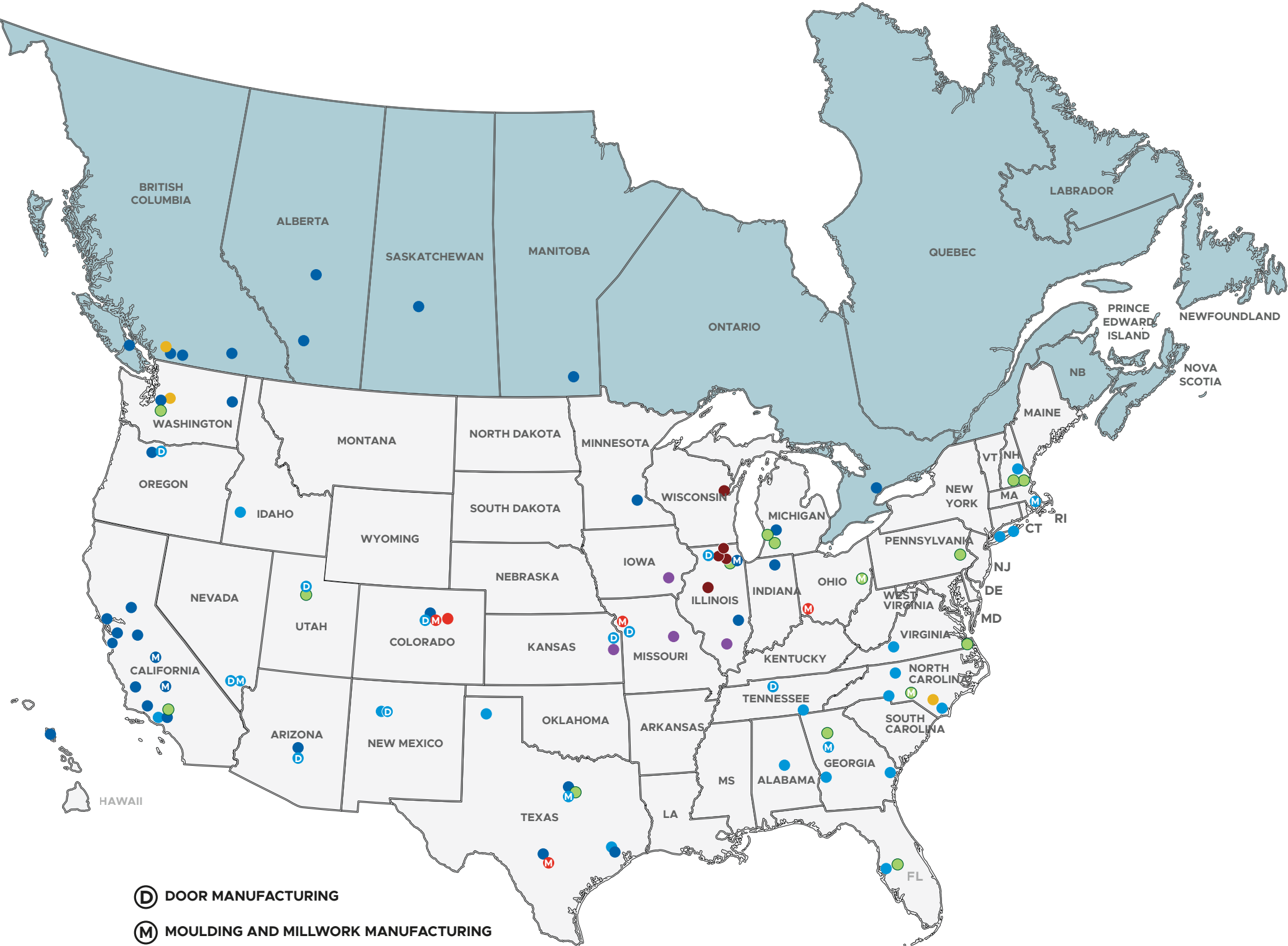


ADENTRA

ANNUAL
REPORT

20
24





Overview

ADENTRA at a Glance

We are uncompromising in our commitment to be the preferred choice for our valued customers, the best partner for our vendors, and a great place to work for our valued employees.



+\$2.2 B

2024 revenues,
US dollars



13%

Five-Year EPS CAGR



\$184 M

Adjusted EBITDA



\$143 M

Operating Cash Flows



+3,000

Employees



+ 60,000

Customers



32 LOCATIONS

28 LOCATIONS

13 LOCATIONS

4 LOCATIONS

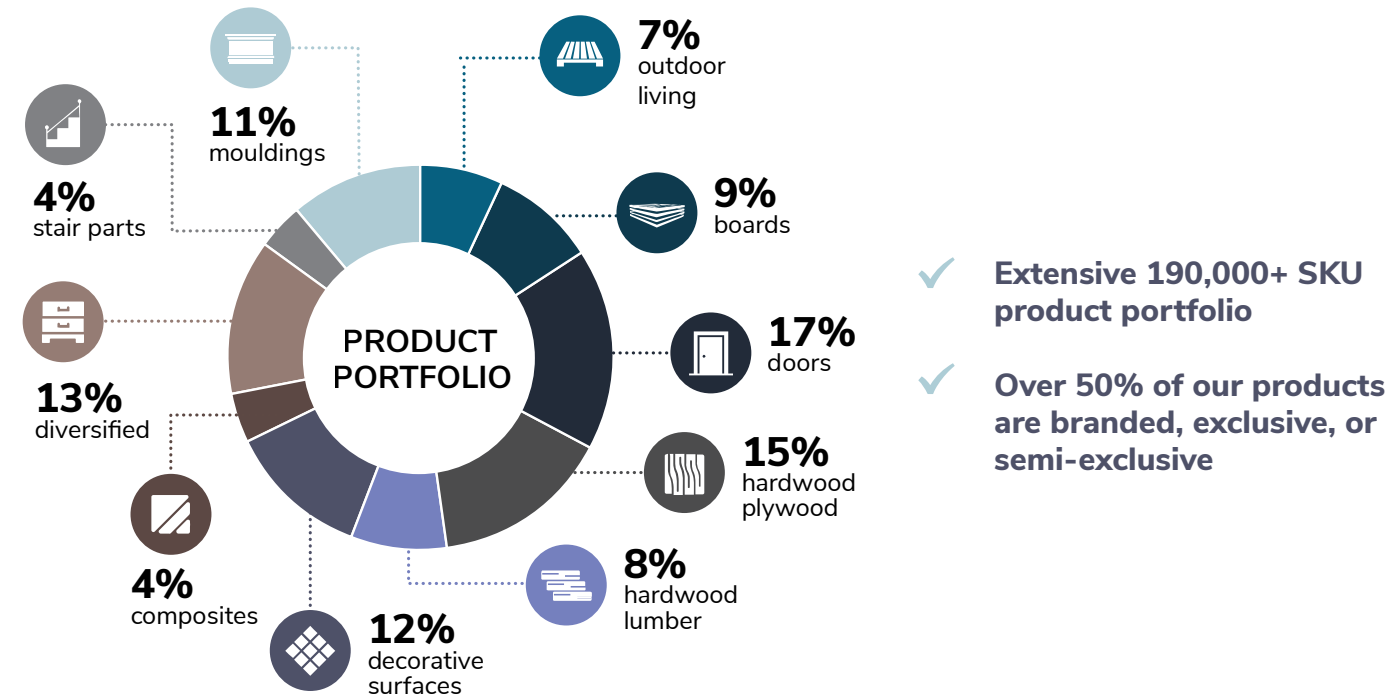
4 LOCATIONS

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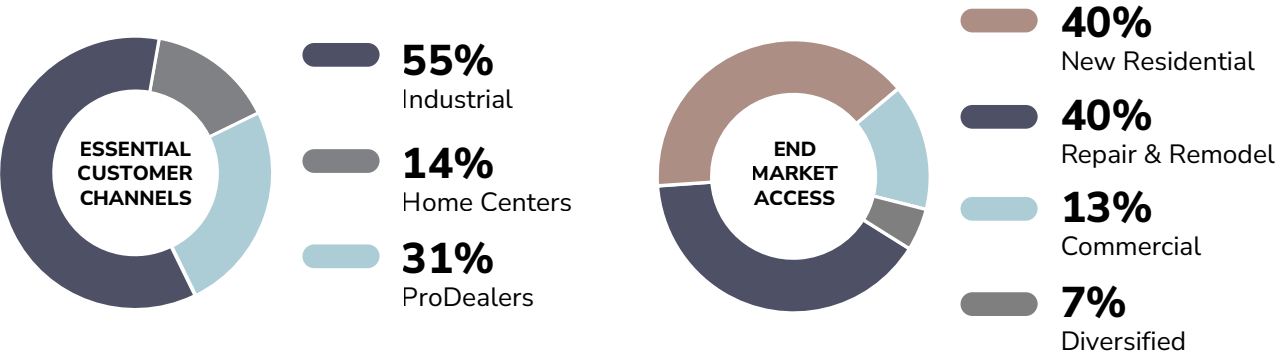
We are an Industry Leader



Focused on Architectural Building Products

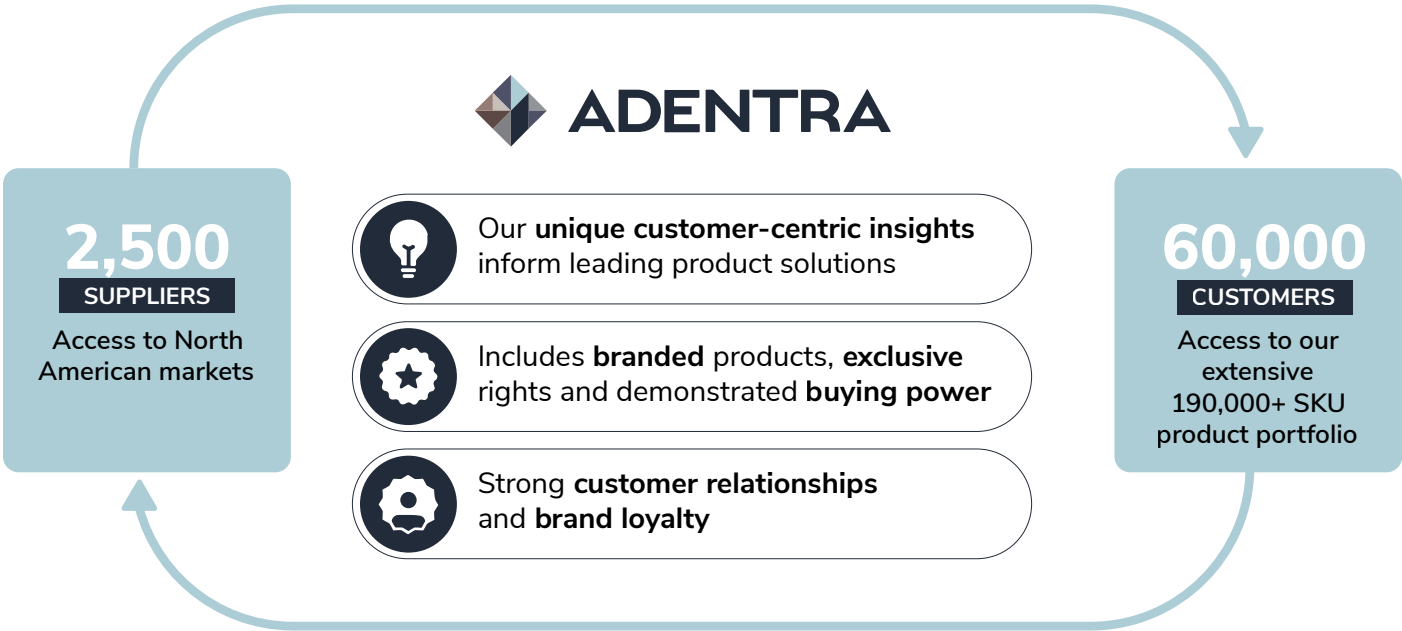


Across Diverse Customer Channels & End Markets



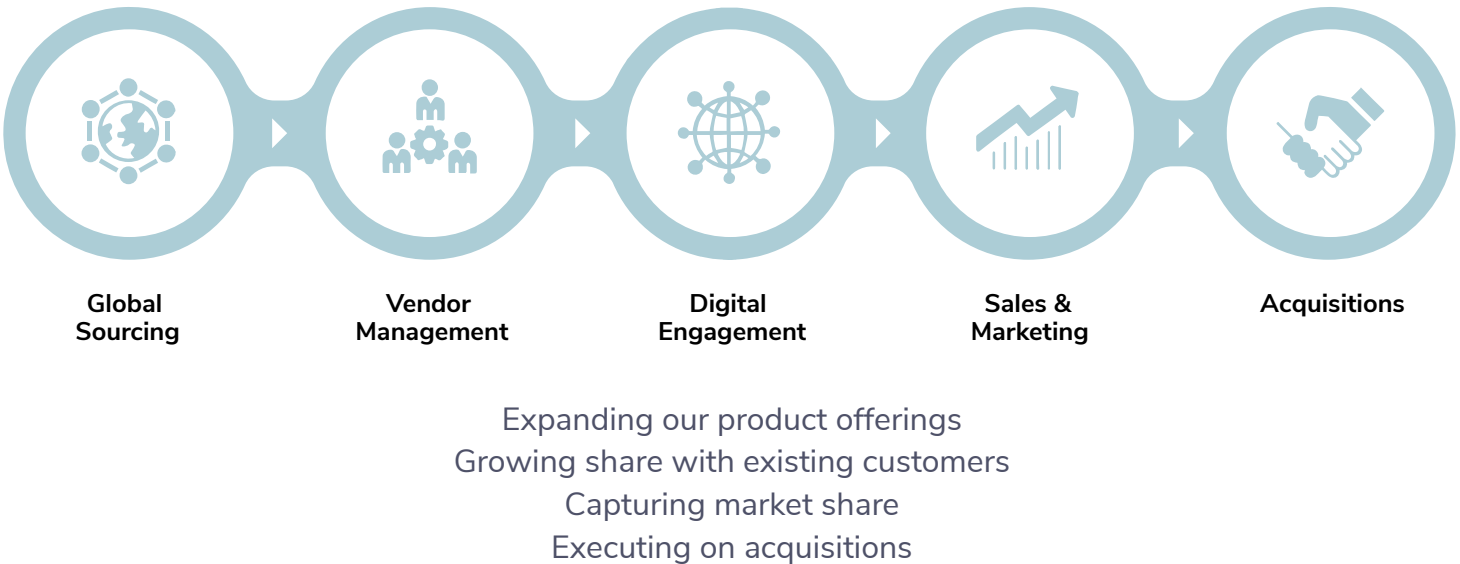
Dollar values are in USD unless otherwise noted. Sales, Adj. EBITDA, Adj. EBITDA after rents, and Operating Cash Flow.
1. "Adjusted EBITDA" and "Adj. EBITDA after rents" are Non-IFRS and Non-GAAP measures.
2. Market Cap. is calculated with share count and per share price of ADENTRA common shares as of December 31, 2024.

A World Class Distribution Platform



Demonstrated Benefits Of Scale

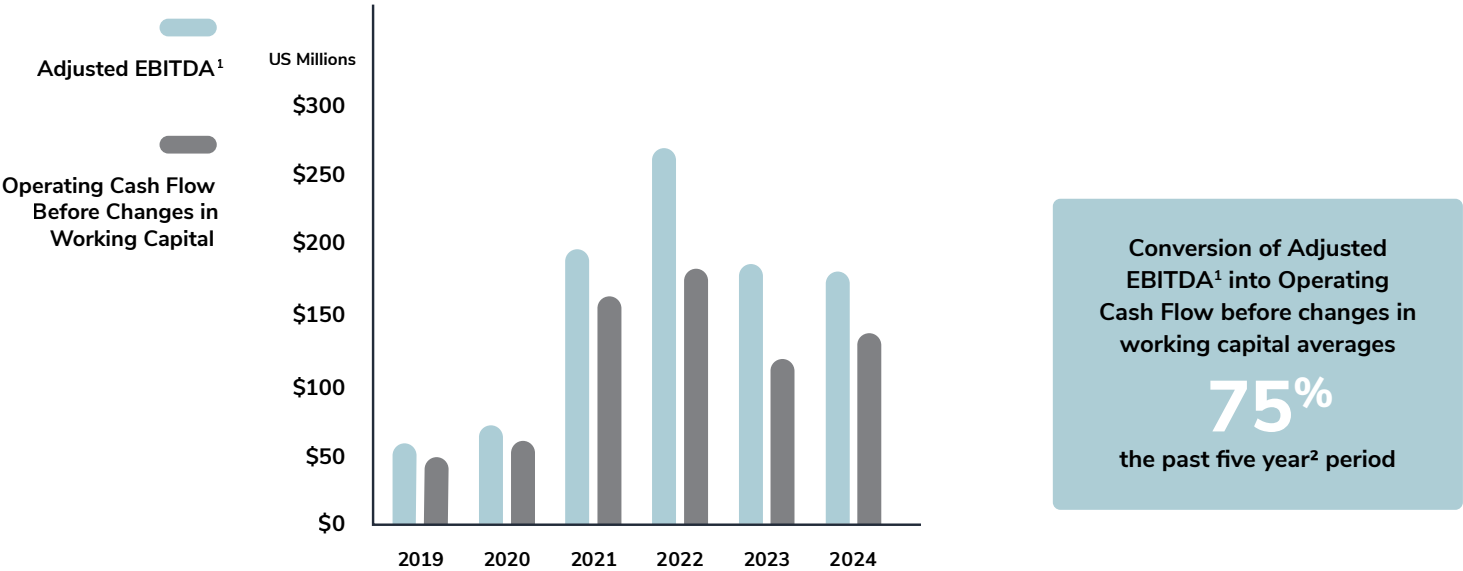
Leveraging our platform in multiple areas...



...To create and sustain our competitive advantage

Platform Drives Strong Cash Flows

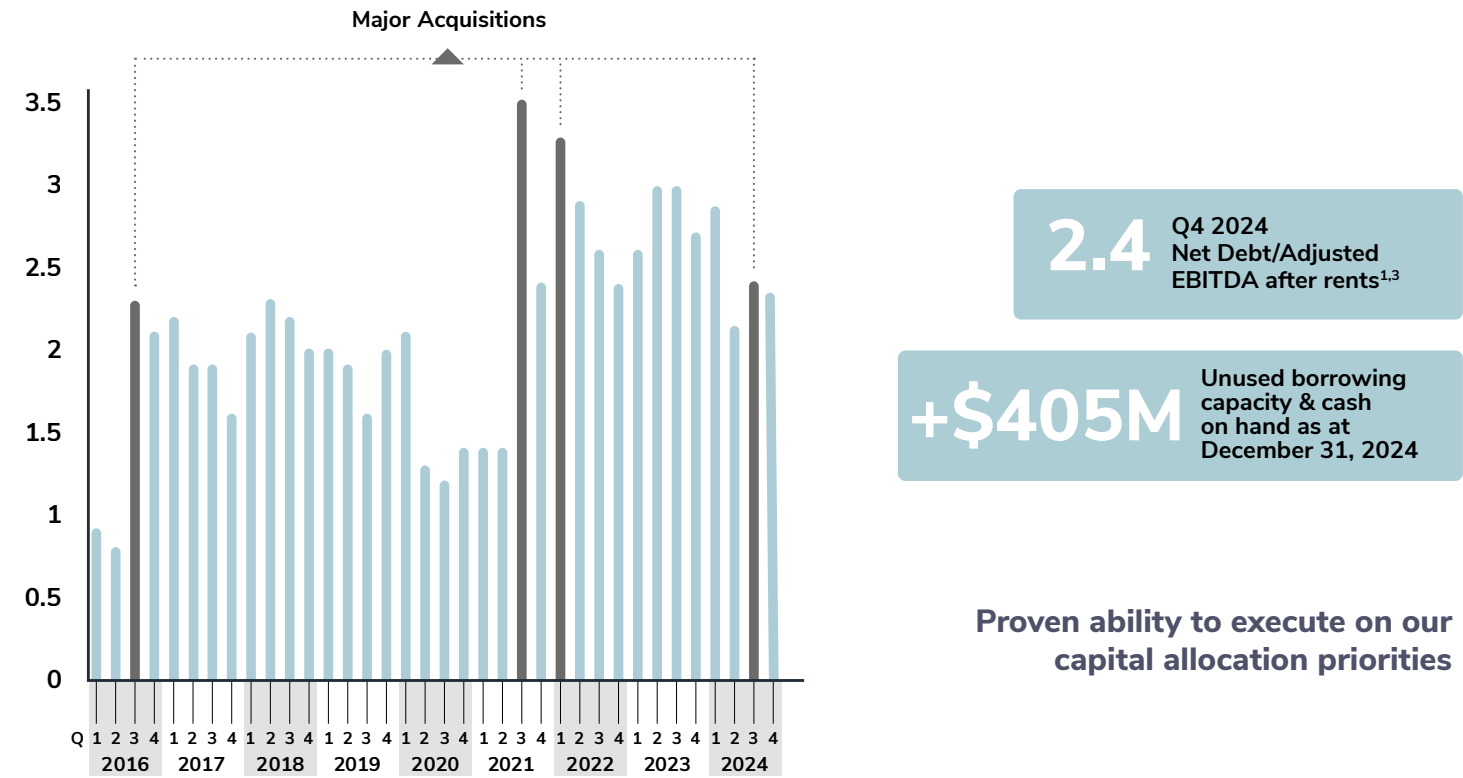
Adjusted EBITDA¹ and Operating Cash Flow Before Changes in Working Capital



Strong free cash flow generation in changing market conditions

Responsible Leverage and Significant Liquidity

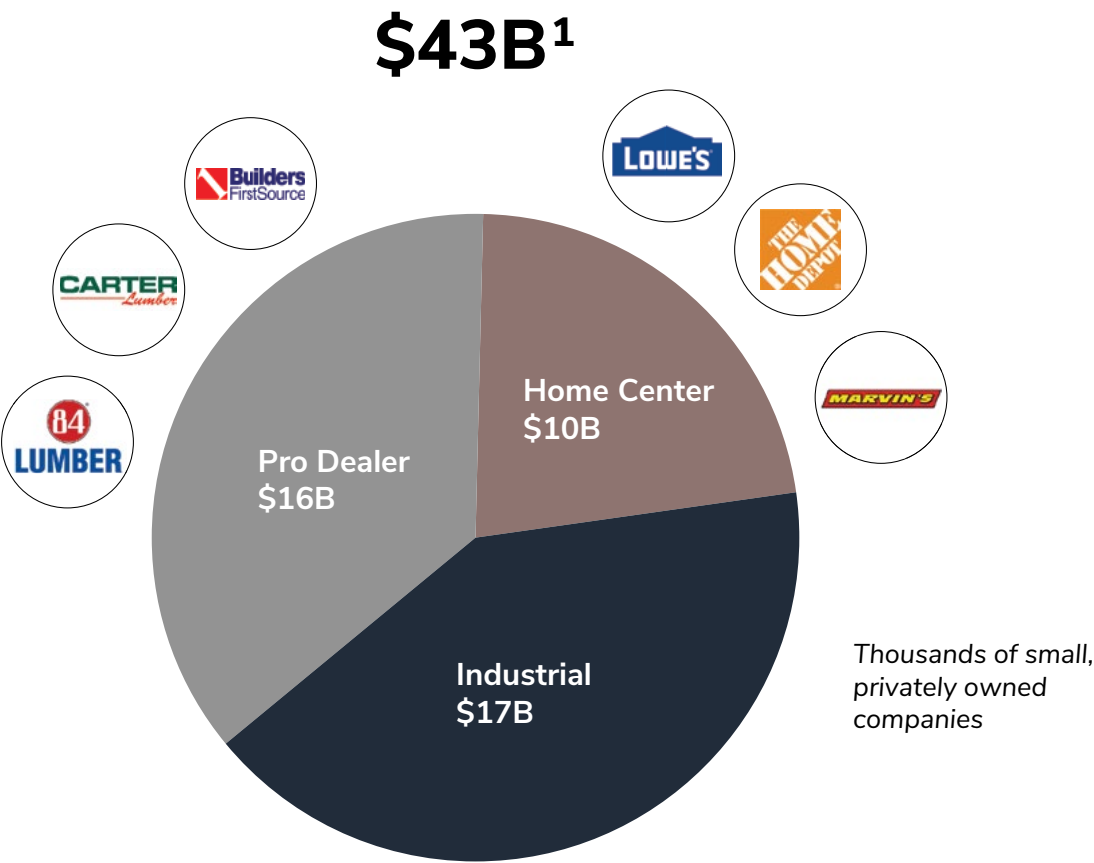
Net Debt / Adjusted EBITDA after Rents¹



1. "Adjusted EBITDA" and "Adjusted EBITDA after rents" and "Net Debt to Adjusted EBITDA after rents" are Non-IFRS and Non-GAAP measures.
2. Period includes 2019 to 2024.
3. "Adjusted EBITDA after rents" for Q4 2024 includes results from the 12-month period ending December 31, 2024.

Fragmented Market with Significant Opportunities for Growth

Total Addressable Market by Customer Channel

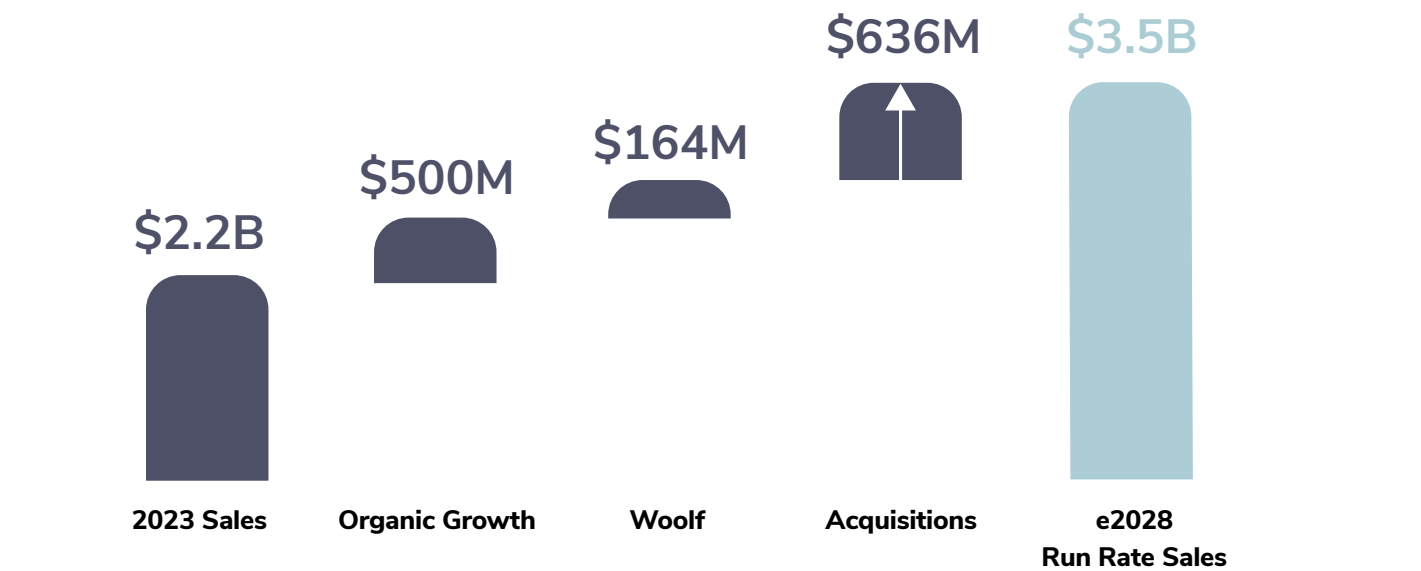


- Industrial**
Segment includes OEM manufacturers, commercial millwork shops, specialty dealers/fabricator, and lumber yards
- Pro Dealer**
Segment includes one/two-step distributors and millwork wholesalers
- Home Center**
Segment includes big box retailers and regional home center stores

~6% market share today

Dollar values are in USD.
1. TAM (Total Addressable Market) developed by Ducker Research.

Our "Destination 2028" Sales Target



Key Assumptions:

- Market growth and strategic initiatives driving mid-single-digit “Organic Growth”
- “Acquisitions” supported by our expected cash flows and balance sheet capacity

Strong free cash flow generation in all market conditions

"Destination 2028" - Our Target Financial KPIs Over the Cycle

+9% Sales CAGR ¹	+20% Gross Margin ²	+10% EBITDA Margin ^{2,5}
2-3X Leverage ^{3,5} Range	+\$1B Operating Cash Flow Before Changes in Working Capital	+12% Average ROIC ^{4,5}

Focused on delivering profitable growth and creating shareholder value

All dollar values are in USD.

1. Sales CAGR is calculated on the organic sales growth over the period 2023 – 2028.

2. “Gross Margin” and “EBITDA Margin” are calculated as follows: Gross Margin = gross profit / sales; EBITDA Margin = Adjusted EBITDA / sales.

3. ADENTRA calculates “Leverage” as Net Debt / Adjusted EBITDA after rents. Additional details on the Company’s calculation of Leverage can be found in its financial disclosures.

4. Return on Invested Capital (ROIC) calculated as Adjusted EBITDA less taxes, depreciation and amortization, divided by the sum of net debt plus equity.

5. “Adjusted EBITDA” is a non-IFRS and non-GAAP measure.



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Rob Brown
President and CEO

To Our Shareholders

One of the enduring truths of the commercial landscape is its dynamic nature – fluctuating between periods of expansion and periods of adversity. In my 20 years with ADENTRA, one of our top priorities has been to smooth the impact of those hills and valleys. By building a larger, diversified and more resilient business, we have positioned ourselves for increased stability during periods of shifting market conditions.

Our Long Track Record of Success

In the past five years, ADENTRA has more than doubled pro forma annual sales to nearly \$2.2 billion, while delivering an impressive 13% compound annual growth rate in earnings per share. In this same time frame, we’ve generated total operating cash flows of over \$596.5 million, enabling us to invest in our business organically and also grow through acquisitions, reduce leverage, and consistently return capital to our investors through regular dividends, with annual increases in each of the past 12 years. We have achieved all this while navigating a changing macroeconomic environment, from the global supply chain disruptions during the pandemic to deflationary product price trends within an otherwise inflationary economy over the past two years.

Reflecting on fiscal 2024, I take pride in the resilience of our results amid a year marked by price pressures in several of our product categories, persistently high mortgage rates, and weakened demand in the building market. Not only did we hold sales volumes steady in this environment, but we also improved our gross margin percentage by 90 basis points to 21.7% while maintaining Adjusted EBITDA and Adjusted net income despite lower total dollar sales. Our 2024 cash flow generation of \$142.8 million, together with use of our credit facilities and an equity raise, enabled us to complete our \$130 million acquisition of Woolf Distributing in July. And we ended the year with a stronger balance sheet, bringing our leverage ratio down to 2.4x.

Executing Effectively On Our Growth Strategy

These achievements in a challenging year underscore the successful execution of our strategies, particularly M&A, a core strength of ADENTRA. Over the past 15 years, we have added \$1.7 billion in sales through 16 acquisitions, including Woolf in 2024. This acquisition expanded our geographic reach in the US Midwest, strengthened our presence in the high-growth ProDealer customer



channel, and broadened our outdoor living portfolio, including a key supplier relationship with AZEK, a global leader in premium decking and railing.

Woolf aligned seamlessly with our strategic goals, enhancing diversification across geography, end markets, and products while moving ADENTRA further up the value chain. Like our previous acquisitions, it was accretive to Adjusted EPS from day one, advancing us towards our Destination 2028 goal of \$1.3 billion in new sales, including \$800 million through acquisitions. On a full-year basis, the Woolf operations will add approximately \$165 million of pro forma sales, building on the competitive advantages that we have already achieved with our platform.

Leveraging Our Size and Strength

ADENTRA is one of North America's largest distributors of architectural building products in a market largely made up of smaller regional distributors. Our scale and strength enable strategic initiatives that drive stability and success.

Our focus on digital engagement strategies is a key differentiator for ADENTRA and enhances our ability to serve a full range of customers. Whether we're fulfilling orders for a world-leading DIY retailer managing thousands of SKUs across hundreds of locations, or an owner-operated millwork business using our online ordering systems to secure a small, mixed-load, just-in-time delivery, we have capabilities that are difficult to replicate.

While technological strength is a crucial part of our business, we balance it with a highly skilled and engaged workforce. Our team provides the real-world expertise that complements our digital systems. From product specialists collaborating with designers and architects, to customer support teams managing complex orders, we attract top talent and invest in their growth. Through initiatives like ADENTRA University, which provided specialized training to over 800 of our employees in 2024, we continue to cultivate excellence.

Our synergy of talent and technology has cultivated a loyal customer base of over 60,000 and attracted top product manufacturers, reinforcing our competitive advantage. I am especially proud of the world-renowned, predominantly American brands that have partnered with ADENTRA, many through exclusive and semi-exclusive arrangements. Combined with our proprietary global sourcing program, we have built a specialty, high-margin product portfolio that further strengthens our market position.

Navigating Uncertainty From a Position of Strength

In the current evolving and uncertain economic landscape, we are well-positioned to navigate challenges from a foundation of strength, resilience, and adaptability. Unlike the last major prepandemic downturn, our business today is significantly more diversified, operationally sophisticated, and strategically prepared to manage volatility while continuing to capture market opportunities.



Over the past decade, we have transformed from a company concentrated in two major product categories to one offering nine distinct product categories, expanding our reach across multiple end markets. We have evolved from a regional player to a truly national presence, diversified across the US, reducing dependence on any single geographic market. This broad footprint strengthens our ability to respond to shifting demand patterns across different regions.

Our growth has been underpinned by a highly skilled team that has been significantly strengthened across all functions, including supply chain, digital, sales and marketing, and acquisitions capabilities. We have also deepened our executive bench strength, ensuring strong leadership to guide us through evolving market conditions.

Beyond internal capabilities, our supplier network has expanded to over 30 countries, providing access to a diverse and strategically sourced product portfolio, including exclusive and semi-exclusive offerings that enhance our competitive edge. Our SKU count has grown significantly, allowing us to serve a broader customer base with tailored solutions.

Our investment in people and technology has further enhanced our business intelligence, offering deeper insight into daily operations, cash management, and working capital optimization. This enables us to reduce working capital to generate cash flow in a decelerating economy, ensuring financial flexibility while maintaining service levels. Our strategy of offering good, better, and best product options enables us to engage with customers across the full affordability spectrum.

Finally, our pricing pass-through revenue model ensures that cost fluctuations are reflected expeditiously, minimizing risk exposure. With over 90% of our business domiciled in the US, we are also strategically positioned to benefit from any relative strength of the US economy versus global markets.

While the economic outlook remains unpredictable, we are confident in our ability to navigate these conditions from a position of strength, leveraging our scale, financial discipline, and operational excellence to continue driving value for our stakeholders.

I want to take this opportunity in closing to thank you, our investors, for your continued confidence in ADENTRA. With your support we have created a large, diversified and growing business that is positioned well for current and future market conditions. We look forward to rewarding your confidence in us again in 2025.

Management's Discussion and Analysis

This management's discussion and analysis ("MD&A") has been prepared by ADENTRA Inc., hereby referred to as "ADENTRA" or the "Company", as of March 13, 2025. This MD&A should be read in conjunction with the audited consolidated financial statements and accompanying notes ("Audited Financial Statements") of the Company for the years ended December 31, 2024 and 2023. Results are reported in US dollars unless otherwise stated. The financial information contained herein has been prepared in accordance with IFRS Accounting Standards ("IFRS"), unless otherwise indicated. For additional information, readers should also refer to our Annual Information Form and other information filed on www.sedarplus.ca.

Non-GAAP and other Financial Measures

In 2024, we revised our calculations of Adjusted net income, Adjusted basic earnings per share, and Adjusted diluted earnings per share to exclude the amortization of acquired intangible assets and foreign exchange gain (loss). The historical presentation of these measures within this MD&A has also been updated to reflect the revised calculations. We believe that excluding the amortization of acquired intangible assets and foreign exchange gain (loss) from these non-GAAP financial measures helps management and investors in understanding our underlying operating performance.

In this MD&A, reference is made to the following non-GAAP financial measures:

"Adjusted EBITDA" is EBITDA before long term incentive plan ("LTIP") expense, accrued trade duties, and transaction costs. We believe Adjusted EBITDA is a useful supplemental measure for investors, and is used by management, for evaluating our ability to meet debt service requirements and fund organic and inorganic growth, and as an indicator of relative operating performance.

"Adjusted net income" is net income before LTIP expense, accrued trade duties, transaction costs, foreign exchange gain (loss), and amortization of intangible assets acquired in connection with an acquisition. We believe adjusted net income is a useful supplemental

measure for investors, and is used by management to assist in evaluating our profitability, our ability to meet debt service and capital expenditure requirements, our ability to generate cash flow from operations, and as an indicator of relative operating performance.

"EBITDA" is earnings before interest, income taxes, depreciation and amortization, where interest is defined as net finance income (expense) as per the consolidated statement of comprehensive income. We believe EBITDA is a useful supplemental measure for investors, and is used by management to assist in evaluating our ability to meet debt service requirements and fund organic and inorganic growth, and as an indicator of relative operating performance.

"Organic sales" consists of quantifying the change in total sales as either related to organic or acquisition-based, or the impact of foreign exchange. Total sales earned by acquired companies in the first 12 months following an acquisition is reported as acquisition-based growth and thereafter as organic sales. Organic sales excludes the impact of acquisitions and foreign exchange impact related to the translation of Canadian sales to US dollars. From time to time, we also quantify the impacts of certain unusual events to organic sales to provide useful information to investors to help better understand our financial results.

"Working capital" is accounts receivable, inventory, and prepaid expenses, partially offset by short-term credit provided by suppliers in the form of accounts payable and accrued liabilities. We believe working capital is a useful indicator for investors, and is used by management to evaluate the operating liquidity available to us.

In this MD&A, reference is also made to the following non-GAAP ratios:

"Adjusted basic earnings per share" and "Adjusted diluted earnings per share" are, respectively, basic earnings per share and diluted earnings per share, in each case, before LTIP expense, accrued trade duties, transaction costs, foreign exchange gain (loss), and amortization of intangible assets acquired in connection with an acquisition. We believe "Adjusted basic earnings per share" and "Adjusted diluted earnings per share" are useful supplemental measures for investors, and are used by management to assist with evaluating our

profitability, our ability to meet debt service and capital expenditure requirements, our ability to generate cash flow from operations, and as an indicator of relative operating performance.

"Adjusted EBITDA margin" is Adjusted EBITDA as a percentage of sales. We believe Adjusted EBITDA margin is a useful supplemental measure for investors, and is used by management to assist in evaluating our profitability, our ability to meet debt service and capital expenditure requirements, our ability to generate cash flow from operations, and as an indicator of relative operating performance.

"Previous 12-months Pro-forma Adjusted EBITDA" is Adjusted EBITDA after rent payments related to warehousing and trucks for the trailing twelve-month plus the partial period impact of any acquisitions completed during this period. The calculation assumes all acquisitions were completed on the first day of the measurement period, providing a full twelve months of operating results for each acquired entity. We believe the Previous 12-months Pro-Forma Adjusted EBITDA is a useful supplementary measure for investors, and is used by management to assist in evaluating our consolidated leverage ratio, operational performance and debt servicing requirements.

"Leverage Ratio" is net debt as compared to Previous 12-months Pro-Forma Adjusted EBITDA after rent payments related to warehousing and trucks. We believe Leverage Ratio is a useful supplemental measure for investors, and is used by management to assist in evaluating our profitability, our ability to meet debt service requirements, assessing our capital structure and how to finance organic and inorganic growth, our ability to generate cash flow from operations, and as an indicator of relative operating performance.

Such non-GAAP financial measures and non-GAAP ratios are not standardized financial measures under IFRS and might not be comparable to similar financial measures disclosed by other issuers. For a reconciliation between non-GAAP measures and non-GAAP ratios and the most directly comparable financial measure in our financial statements, please refer to the discussion of Results of Operations described in section 3.0, Working Capital in section 5.2, and Revolving Credit Facilities and Debt Management Strategy in section 5.3 of this report.



1.0 Executive Summary

1.1 Highlights

Despite a challenging macroeconomic environment, we achieved another year of solid financial performance. Through effective execution of our business strategy and disciplined operations, we maintained steady sales volumes year-over-year. Although product price deflation of 4% impacted our top-line, the increase in our gross margin percentage to 21.7% representing a 90-basis point improvement, along with strong contributions from our newly acquired Woolf Distributing Co. Inc. operations ("Woolf"), offset this deflation. Consequently, we were successful in growing gross margin dollars by \$8.0 million, or 1.7% year-over-year. This, combined with tight control of operating expenses, resulted in Adjusted EBITDA of \$184.3 million and Adjusted Net Income of \$71.8 million, consistent with our 2023 performance.

Summary financial highlights (2024 as compared to 2023, unless otherwise noted)

- **Generated full-year sales** of \$2.18 billion, as compared to \$2.24 billion in the prior year, a decrease of 2.5%. **Q4 sales** grew to \$530.8 million, from \$514.9 million in Q4 2023, up 3.1%.
- **Gross margin percentage** grew to 21.7% in 2024, a 90 bps increase from 20.8% in 2023; **Q4 2024** gross margin percentage increased slightly to 21.7%, from 21.6% in Q4 2023.
- **Operating expenses** increased by \$3.4 million to \$377.2 million from \$373.8 million in 2023. **Q4 2024 operating expenses** increased by \$8.3 million, or 9.7%.
- **Basic earnings per share** increased to \$1.95 in 2024, from \$1.61 in 2023. **Q4 basic earnings per share** decreased to \$0.34, from \$0.40 per share in Q4 2023.
- **Adjusted basic earnings per share** of \$3.01 in 2024, compared to \$3.18 in 2023; **Q4 2024 adjusted basic earnings per share** of \$0.51,

- compared to \$0.66 per share in Q4 2023.
- **Achieved full-year Adjusted EBITDA** of \$184.3 million, similar to \$185.2 million in 2023; **Q4 2024 Adjusted EBITDA** of \$42.2 million decreased 5.1% from \$44.5 million in Q4 2023.
- **Generated strong cash flow from operating activities** of \$142.8 million in 2024, including \$41.0 million in Q4 2024.
- **Effectively deployed capital in 2024**, reducing our leverage ratio, purchasing Woolf, and returning \$9.6 million in cash to shareholders via dividends
- **Increased quarterly dividend** by 7% to C\$0.15 per share, or C\$0.60 annually, effective November 13, 2024

Our annual sales were 2.5% lower year-over-year, reflecting a 5.3% decrease in organic revenues, partially offset by the \$65.7 million of sales generated by the acquired Woolf operations. Product price deflation accounted for approximately 4% of the 5.3% decrease in organic sales. On a quarterly basis and as compared to the same period in the prior year, product price deflation had a steadily lower impact on sales results as the year progressed, moving from 9% in Q1, to 6% in Q2, to 3% in Q3, and 1% in Q4.

Our gross margin of 21.7% reflects strong execution of our business strategies. In particular, our successful efforts to diversify our business across products, geographies, customer channels, and end markets continue to support solid, consistent and predictable performance even amidst market fluctuations.

Our 2024 operating costs increased by \$3.4 million, or 0.9%, year-over-year, a modest increase in the generally inflationary cost environment. We continued to exert tight control over operating expenses, with actions including a reduction in organic costs related to headcount and premises.

Our cash flow performance underscores the efficiency of our business model, particularly in softer market conditions. During the year ended December 31, 2024, we converted Adjusted EBITDA of \$184.3 million into \$147.8 million of operating cash flow

before changes in working capital, achieving an 80% conversion ratio. Importantly, our investment in working capital was nominal. We leveraged our operating cash flow, an equity raise, and our credit line to fund the purchase of Woolf while maintaining a strong balance sheet. As a result, our pro forma leverage ratio stood at 2.4x at the end of 2024, a significant reduction from 2.6x in the preceding year.

Looking ahead, we expect to generate additional cash flow in fiscal 2025, enabling further debt repayment. Our capital priorities include a focused approach to executing on our robust pipeline of acquisition opportunities. Dividends and opportunistic share repurchases are also an important part of our capital allocation plan. On March 13, 2025, ADENTRA's Board of Directors approved a quarterly dividend of C\$0.15 per share, to be paid April 25, 2025 to shareholders of record as at April 14, 2025.

1.2 Recent Acquisitions

Over the past five years we have completed seven acquisitions, which collectively represent pro forma revenues of almost \$1.2 billion and have diversified our product offering such that no individual product category exceeds 20% of our pro forma sales mix. The new businesses have also significantly expanded the proportion of our revenues sourced from higher-margin specialty products and have broadened our customer segments to include fabricators, pro dealers and home centers, increasing our access to large, new addressable markets.

Woolf Acquisition

On July 29, 2024, we announced the \$130.0 million acquisition of Woolf, a value-added distributor of architectural building and millwork products for residential and commercial markets. Woolf has expanded our geographic reach and product portfolio by adding complementary millwork locations to our US Midwest operations and introducing branded specialty products in the outdoor living product category. This acquisition also enhances our access to the attractive Pro Dealer customer channel, where we anticipate strong and sustained demand from the new residential and repair and remodel markets.

From the date of acquisition to December 31, 2024, Woolf achieved \$65.7 million in sales.

1.3 Outlook

In the first two months of Q1 2025 our organic sales were down 6% as compared to the same period in the prior year, primarily due to lower volumes. Unfavorable winter weather resulted in fewer sales days for some of our operations in January. In addition, market headwinds have persisted into early 2025, with elevated US mortgages rates and constrained housing supply contributing to continued affordability issues, and the onset of a trade war between the US and its key trading partners increasing the prospect of renewed inflationary pressure and economic uncertainty.

Despite these challenges, we believe ADENTRA's potential tariff exposure at this time is limited, with 90% of our operations based in the US and an estimated 92% of purchases not anticipated to be impacted by tariffs that were declared in March, or those expected to come into effect in April. In the event tariffs are implemented that lead to renewed inflationary pressures, the Company operates under a pricing pass-through revenue model, allowing it to adjust pricing in response to market fluctuations within a reasonable timeframe.

The broader economic impact of tariffs, including inflationary pressures and potential constraints on growth, adds uncertainty to the near-term outlook. US housing activity, already facing affordability challenges, may experience further headwinds. Long-term fundamentals however remain intact, supported by historic undersupply, favorable demographics, strong home equity levels, and an aging housing stock.

With pricing trends stabilizing following declines in 2024, we remain focused on enhancing operational efficiency and implementing our strategic plan. Our focus on cost control, global sourcing, vendor management, and high-value, installation-ready products, combined with advanced data analytics and digital capabilities, strengthens our ability to optimize asset management, maintain pricing discipline, and capitalize on market opportunities as they arise.

ADENTRA's strong balance sheet, diversified portfolio,

national presence, and robust supplier network, set it apart from the smaller, regional competitors that comprise the majority of the industry. Well-equipped to navigate any potential near-term volatility, the company remains steadfast in its commitment to long-term growth and value creation for shareholders.



2.0 Business and Industry Overview

Serving customers for over 60 years, ADENTRA is one of North America's largest distributors of architectural building products to the residential, repair and remodel and commercial construction markets. We operate 86 facilities across North America. Certain of these facilities include light manufacturing capabilities, which enable us to create custom millwork packages for our customers.

Our product mix comprises a wide array of products, including doors, decorative surfaces, mouldings, stair parts, hardwood lumber, hardwood plywood, composite panels, outdoor living and other building products. Many of our product lines are complementary, and we typically sell our customers some combination of key products from the categories described.

Our primary role in the industry is to provide the critical link between suppliers that generally manufacture and want to sell large volumes of certain products, and customers that generally require lesser quantities of many different products on a just-in-time basis. In addition to fulfilling this essential role in the supply chain, we provide value-added services when some level of customization is required by our customers.

Our customers include industrial manufacturers, home builder distribution yards ("Pro Dealers"), and home centers.

- Industrial manufacturers are comprised of thousands of small to mid-sized customers that require materials on a just-in-time basis, typically need a wider range of products than they can source from any one mill, and seek time to pay in the form of credit terms. These customers manufacture a range of end-use products including cabinetry, furniture and custom millwork.
- Pro Dealers are comprised of smaller and larger customers that manufacture and supply building materials to both custom and production home builders. Pro Dealers require us to manage the

complex supply chain and lead times associated with the architectural building products that we sell. Increasingly, Pro Dealers also want to align with suppliers like ADENTRA that have a national footprint and that can work with them on an organized and consistent basis across multiple regions.

- Home centers are comprised of building materials retailers such as Lowe's, Home Depot, and Marvin's. The majority of our home center customers "turn over the aisle" to ADENTRA and require us to be a full category manager. This includes managing the complex supply chain and lead times associated with the architectural products that we sell, determining what product to stock in which locations, shipping the product to each individual store and physically replenishing the aisle, counting and culling inventory as needed, training home center staff on the product, and supporting e-commerce activities.

As it relates to our suppliers, we add value by buying their products in volume and paying them promptly, by providing access to our large North American distribution network, and by supporting their products with strong sales and marketing support. We effectively act as their third-party sales force.

Customers sell our products across multiple sectors of the economy, including new home construction, renovation, non-residential construction, institutional markets and manufacturing. As a result of this diversity, it is difficult to determine with certainty how our sales break out across these sectors. We estimate that approximately 40% of our products end up in new residential construction and another 40% in the repair and remodel end markets. We estimate that the remaining 20% ends up in other sectors of the economy not associated with new residential construction, such as finishing millwork for office buildings, recreational vehicles, restaurant and bar interiors, hotel lobbies, retail point-of-purchase displays, schools, hospitals, custom motor coaches, yacht interiors and other specialty areas.



3.0 Results of Operations

3.1 Years Ended December 31, 2024 and 2023

Selected Consolidated Financial Information (in thousands of US dollars, except otherwise noted, per share amounts and percentages)				
	For the year ended December 31 2024	For the year ended December 31 2023	\$ Increase (Decrease)	% Increase (Decrease)
Total sales	\$ 2,184,258	\$ 2,239,324	\$ (55,066)	(2.5)%
Sales in the US	2,011,895	2,069,660	(57,765)	(2.8)%
Sales in Canada (CAD\$)	235,926	228,995	6,931	3.0 %
Gross profit	474,064	466,102	7,962	1.7%
Gross profit %	21.7%	20.8%		
Operating expenses	(377,156)	(373,797)	3,359	0.9%
Income from operations	\$ 96,908	\$ 92,305	\$ 4,603	5.0%
Add: Depreciation and amortization	76,099	69,857	6,242	8.9%
Earnings before interest, taxes, depreciation and amortization ("EBITDA")	\$ 173,007	\$ 162,162	\$ 10,845	6.7%
EBITDA as a % of revenue	7.9%	7.2%		
Add (deduct):				
Depreciation and amortization	(76,099)	(69,857)	6,242	
Net finance expense	(41,614)	(49,406)	(7,792)	
Income tax expense	(8,816)	(6,851)	1,965	
Net income for the year	\$ 46,478	\$ 36,048	\$ 10,430	28.9%
Basic earnings per share	\$ 1.95	\$ 1.61		
Diluted earnings per share	\$ 1.92	\$ 1.59		
Average US dollar exchange rate for one Canadian dollar	\$ 0.730	\$ 0.741		

Analysis of Specific Items Affecting Comparability (in thousands of US dollars, except per share amounts and percentages)				
	For the year ended December 31 2024	For the year ended December 31 2023 ¹	\$ Increase (Decrease)	% Increase (Decrease)
Earnings before interest, taxes, depreciation and amortization ("EBITDA"), per table above	\$ 173,007	\$ 162,162	\$ 10,845	6.7%
LTIP expense	9,309	7,440	1,869	
Accrued trade duties	—	15,640	(15,640)	
Transaction expense	1,935	—	1,935	
Adjusted EBITDA	\$ 184,251	\$ 185,242	\$ (991)	(0.5)%
Adjusted EBITDA as a % of revenue	8.4%	8.3%		
Net income for the year, as reported	\$ 46,478	\$ 36,048	\$ 10,430	28.9%
LTIP expense, net of tax	6,842	6,812	30	
Accrued trade duties, net of tax	—	11,495	(11,495)	
Transaction expenses, net of tax	1,422	—	1,422	
Foreign exchange (gain) loss, net of tax	(642)	681	(1,323)	
Amortization of acquired intangible assets, net of tax	17,723	16,248	1,475	
Adjusted net income for the year	\$ 71,823	\$ 71,284	\$ 539	0.8%
Basic earnings per share, as reported	\$ 1.95	\$ 1.61	\$ 0.34	21.0 %
Net impact of above items per share	1.06	1.57	(0.51)	(32.5)%
Adjusted basic earnings per share	\$ 3.01	\$ 3.18	\$ (0.17)	(5.4)%
Diluted earnings per share, as reported	\$ 1.92	\$ 1.59	\$ 0.33	20.8%
Net impact of above items per share	1.05	1.56	(0.51)	(32.7)%
Adjusted diluted earnings per share	\$ 2.97	\$ 3.15	\$ (0.18)	(5.7)%

¹ Prior year comparative figures have been adjusted to add back amortization of acquired intangible assets, foreign exchange (gain) loss, and LTIP tax deductibility to conform with current year presentation.

Sales

For the year ended December 31, 2024, we generated total sales of \$2.18 billion, compared to \$2.24 billion in 2023, a decrease of \$55.1 million or 2.5%. Organic sales decreased by \$118.2 million, or 5.3%, with product prices representing 4% of the decrease and lower sales volumes representing approximately 1%. The decline in organic sales was partially offset by \$65.7 million, or 2.9%, of acquisition-based revenue growth generated by the acquired Woolf business. Foreign exchange fluctuations in the Canadian dollar negatively impacted sales results by \$2.6 million.

Sales in the US

Our US operations generated annual sales of \$2.01 billion in 2024, compared to \$2.07 billion in 2023. This included a \$123.5 million, or 6.0%, year-over-year decrease in organic sales, with product price deflation representing approximately 4% of the decrease and lower sales volumes accounting for approximately 2%. The decrease in organic sales was partially offset by the addition of the Woolf operations, which added \$65.7 million, or 3.2% to 2024 US sales.

Sales in Canada

In Canada, sales for the 2024 year increased to C\$235.9 million, up C\$6.9 million, or 3.0%, from 2023. The year-over-year improvement reflects an approximate 8% increase in sales volume, partially offset by a 5% decrease in product prices.

Gross Margin

Gross margin for the year ended December 31, 2024 increased to \$474.1 million, up \$8.0 million, or 1.7%, from 2023. This improvement was driven by an increase in gross margin percentage to 21.7%, from 20.8% in 2023, partially offset by lower sales year over year. The improvement in gross margin percentage primarily reflects the positive impact of our strategic initiatives, operating efficiency, and a reduction in inventory write-downs.

Operating Expenses

For the year ended December 31, 2024, operating expenses increased to \$377.2 million, up modestly from \$373.8 million in 2023. The \$3.4 million, or 0.9% increase, reflects \$7.6 million of additional operating expenses and \$1.9 million of transaction costs related to the Woolf acquisition, together with an \$8.4 million increase in people costs related to inflation. These increases were partially offset by \$15.6 million of accrued trade duties recognized in 2023, which did not recur in the current year (discussed further in section 7.0) and a \$5.1 million reduction in premise costs.

Depreciation and Amortization

For the year ended December 31, 2024, depreciation and amortization increased to \$76.1 million, up from \$69.9 million in 2023. The year-over-year increase was attributed to higher depreciation of premise leases and additional amortization of intangible assets. Included in the depreciation and amortization was \$24.1 million of amortization on acquired intangible assets, an increase of \$2.1 million from 2023, driven by intangible assets acquired as a result of the Woolf acquisition.

Net Finance Expense

For the year ended December 31, 2024, net finance expense was \$7.8 million lower at \$41.6 million, as compared to \$49.4 million in 2023. This improvement was primarily driven by a reduction in our average bank indebtedness balance and, to a lesser extent, lower interest rates during the period. The decrease in net finance expense was partially offset by higher interest associated with leases.

Income Tax Expense

For the year ended December 31, 2024, income tax expense was \$8.8 million, up from \$6.9 million in 2023. This equates to an effective tax rate 15.9% for 2024, and 16.0% for 2023. In May 2024, Canada substantively enacted the Excessive Interest and Financing Expenses Limitation ("EIFEL") legislation which limits our ability to deduct interest and increases

our expected taxable income in Canada. During the year ended December 31, 2024, we recognized \$4.3 million (C\$5.8 million) of deferred tax assets based on the expected utilization of operating loss carry forwards.

Excluding this tax recovery, income tax expense was \$13.1 million, representing an effective tax rate of 23.7%, compared to 16.0% in 2023. The increase in the effective tax rate is due to the EIFEL legislation, and the OECD Pillar Two global minimum tax ("Pillar Two tax"), which came into effect in 2024 and added \$2.7 million to our current income tax expense.

Adjusted EBITDA

For the year ended December 31, 2024, we generated Adjusted EBITDA of \$184.3 million, a \$1.0 million or 0.5% decrease from \$185.2 million in 2023. The modest year-over-year decrease reflects the \$8.9 million increase in operating expenses (before changes in depreciation and amortization, LTIP expense, accrued trade duties, and transaction costs), largely offset by the \$8.0 million increase in gross margin.

Net Income for the Year

Net income for the year ended December 31, 2024 grew 28.9% to \$46.5 million (basic earnings per share of \$1.95), from \$36.0 million (basic earnings per share of \$1.61) in 2023. The \$10.4 million increase was driven by the \$10.8 million improvement in EBITDA and the \$7.8 million decrease in net finance expense, partially offset by the \$6.2 million increase in depreciation and amortization and income tax expense that was \$2.0 million higher year over year.

Adjusted net income grew 0.8% to \$71.8 million in 2024, from \$71.3 million in the prior year. Adjusted basic earnings per share were \$3.01, compared to \$3.18 in 2023, a decrease of 5.4%.



3.2 Three-Month Periods Ended December 31, 2024 and 2023

Selected Consolidated Financial Information

(in thousands of US dollars, except otherwise noted, per share amounts and percentages)

	Three months ended December 31 2024	Three months ended December 31 2023	\$ Increase (Decrease)	% Increase (Decrease)
Total sales	\$ 530,809	\$ 514,859	\$ 15,950	3.1%
Sales in the US	489,865	475,978	13,887	2.9%
Sales in Canada (CAD\$)	57,134	53,014	4,120	7.8%
Gross profit	115,228	111,353	3,875	3.5%
Gross profit %	21.7%	21.6%		
Operating expenses	(94,415)	(86,090)	8,325	9.7%
Income from operations	\$ 20,813	\$ 25,263	\$ (4,450)	(17.6)%
Add: Depreciation and amortization	20,518	17,736	2,782	15.7%
Earnings before interest, taxes, depreciation and amortization ("EBITDA")	\$ 41,331	\$ 42,999	\$ (1,668)	(3.9)%
EBITDA as a % of revenue	7.8%	8.4%		
Add (deduct):				
Depreciation and amortization	(20,518)	(17,736)	2,782	
Net finance expense	(8,878)	(12,420)	(3,542)	
Income tax recovery (expense)	(3,547)	(3,846)	(299)	
Net income for the period	\$ 8,388	\$ 8,997	\$ (609)	(6.8)%
Basic earnings per share	\$ 0.34	\$ 0.40		
Diluted earnings per share	\$ 0.33	\$ 0.40		
Average US dollar exchange rate for one Canadian dollar	\$ 0.715	\$ 0.734		

Analysis of Specific Items Affecting Comparability

(in thousands of US dollars, except per share amounts and percentages)

	Three months ended December 31 2024	Three months ended December 31 2023 ¹	\$ Increase (Decrease)	% Increase (Decrease)
Earnings before interest, taxes, depreciation and amortization ("EBITDA"), per table above	\$ 41,331	\$ 42,999	\$ (1,668)	(3.9)%
LTIP expense	853	1,454	(601)	
Adjusted EBITDA	\$ 42,184	\$ 44,453	\$ (2,269)	(5.1)%
Adjusted EBITDA as a % of revenue	7.9%	8.6%		
Net income for the period, as reported	\$ 8,388	\$ 8,997	\$ (609)	(6.8)%
LTIP expense, net of tax	627	1,344	(717)	
Foreign exchange loss, net of tax	(1,246)	441	(1,687)	
Amortization of acquired intangible assets, net of tax	4,946	4,062	884	
Adjusted net income for the period	\$ 12,715	\$ 14,844	\$ (2,129)	(14.3)%
Basic earnings per share, as reported	\$ 0.34	\$ 0.40	\$ (0.06)	(15.0)%
Net impact of above items per share	0.17	0.26	(0.09)	
Adjusted basic earnings per share	\$ 0.51	\$ 0.66	\$ (0.15)	(22.7)%
Diluted earnings per share, as reported	\$ 0.33	\$ 0.40	\$ (0.07)	(17.1)%
Net impact of above items per share	0.17	0.27	(0.10)	
Adjusted diluted earnings per share	\$ 0.50	\$ 0.67	\$ (0.17)	(25.2)%

¹ Prior year comparative figures have been adjusted to add back amortization of acquired intangible assets, foreign exchange (gain) loss, and LTIP tax deductibility to conform with current year presentation.

Sales

For the three months ended December 31, 2024, total sales grew by \$16.0 million to \$530.8 million, from \$514.9 million in Q4 2023. The year-over-year growth was driven by our newly acquired Woolf business, which contributed sales of \$34.3 million during the Q4 2024 period. This was partially offset by a \$17.3 million, or 3.4%, decrease in organic sales, reflecting an approximate 1% decrease in product prices and a 2% decrease in sales volumes compared to Q4 2023. Foreign exchange fluctuations in the Canadian dollar had an additional \$1.1 million unfavorable impact on sales results.

Sales in the US

In our US operations, fourth quarter sales increased by \$13.9 million to \$489.9 million, from \$476.0

million in the same period in 2023. The year-over-year improvement was driven by the \$34.3 million contribution from the acquired Woolf business, partially offset by a \$20.4 million, or 4.3% decrease in organic sales. Approximately 1% of the change in organic sales was due to product price deflation, with 3% attributable to lower sales volumes.

Sales in Canada

In Canada, fourth quarter sales of C\$57.1 million increased by C\$4.1 million, or 7.8%, from Q4 2023 levels. The year-over-year improvement in Canadian sales reflects an approximate 11% increase in sales volumes, partially offset by a 3% decrease in product prices.

Gross Margin

Third quarter gross margin increased to \$115.2 million, a \$3.9 million, or 3.5%, improvement from Q4 2023, primarily driven by higher sales. Gross margin percentage of 21.7% was 10 basis points higher than the same period in 2023.

Operating Expenses

For the three months ended December 31, 2024, operating expenses increased to \$94.4 million, from \$86.1 million in Q4 2023. This \$8.3 million, or 9.7%, increase reflects the addition of \$4.5 million of expense related to the acquired Woolf business. People costs were also \$2.5 million higher in the current period, primarily due to inflationary adjustments and an increase in employee benefits expense. The remaining \$1.3 million increase is mainly attributable to a one-time insurance accrual reversal in Q4 2023.

Depreciation and Amortization

For the three months ended December 31, 2024, depreciation and amortization increased to \$20.5 million, from \$17.7 million in Q4 2023. The year-over-year increase was mainly due to higher premise lease costs and an additional \$1.2 million in amortization of acquired intangible assets related to the Woolf acquisition. Depreciation and amortization included \$6.7 million of amortization on acquired intangible assets.

Net Finance Expense

For the three months ended December 31, 2024, net finance expense decreased to \$8.9 million, from \$12.4 million in Q4 2023. The \$3.5 million improvement was partially attributable to a \$1.7 million change in unrealized foreign exchange gains (losses) from intercompany loans held in foreign currencies. Lower interest rates also contributed to the reduced finance expense.

Income Tax Expense

For the three months ended December 31, 2024, income tax expense was \$3.5 million, representing an

effective tax rate of approximately 29.7%, comparable to 29.8% in Q4 2023.

Adjusted EBITDA

We generated fourth quarter Adjusted EBITDA of \$42.2 million, as compared to \$44.5 million in Q4 2023. This \$2.3 million, or 5.1%, change reflects a \$6.2 million increase in operating expenses (before changes in depreciation and amortization, LTIP expense, accrued trade duties, and transaction expense), partially offset by the \$3.9 million improvement in gross margin.

Net Income for the Period

Net income for the fourth quarter of 2024 decreased 6.8% to \$8.4 million (basic earnings per share of \$0.34), from \$9.0 million (basic earnings per share of \$0.40) in Q4 2023. The \$0.6 million decrease reflects the \$1.7 million decrease in EBITDA and a \$2.8 million increase in depreciation and amortization, partially offset by a \$3.5 million reduction in net finance expense and a \$0.3 million decrease in income tax expense.

Fourth quarter adjusted net income was \$12.7 million, a decrease of 14.3% from \$14.8 million in the same period in 2023. Adjusted basic earnings per share for Q4 2024 were \$0.51, compared to \$0.66 in Q4 2023, a decrease of 22.7%.

4.0 Selected Financial Information and Seasonality

4.1 Quarterly Financial Information

(in thousands of US dollars, except per share amounts)

	Q4 2024	Q3 2024	Q2 2024	Q1 2024	Q4 2023	Q3 2023	Q2 2023	Q1 2023
Sales	\$ 530,809	\$ 568,819	\$ 549,492	\$ 535,138	\$ 514,859	\$ 558,673	\$ 585,935	\$ 579,857
Cost of goods sold	(415,581)	(447,435)	(430,274)	(416,904)	(403,506)	(440,366)	(466,486)	(462,864)
Gross profit	115,228	121,384	119,218	118,234	111,353	118,307	119,449	116,993
Selling, distribution, and administration	(75,883)	(79,348)	(76,243)	(77,388)	(70,251)	(85,283)	(78,024)	(76,671)
Depreciation	(11,441)	(10,649)	(10,105)	(10,578)	(9,983)	(9,740)	(10,714)	(10,078)
Amortization of intangible assets	(7,091)	(6,690)	(5,871)	(5,869)	(5,856)	(5,837)	(5,681)	(5,679)
Operating expenses	(94,415)	(96,687)	(92,219)	(93,835)	(86,090)	(100,860)	(94,419)	(92,428)
Income from operations	20,813	24,697	26,999	24,399	25,263	17,447	25,030	24,565
Net finance expense	(8,878)	(11,240)	(10,418)	(11,078)	(12,420)	(12,662)	12,105	(12,219)
Income before income taxes	11,935	13,457	16,581	13,321	12,843	4,785	12,925	12,346
Current income tax (expense) recovery	(1,510)	1,245	(3,346)	(2,053)	1,138	1,073	(3,015)	(3,042)
Deferred income tax (expense) recovery	(2,037)	(4,299)	3,781	(597)	(4,984)	2,228	(542)	293
Income tax (expense) recovery	(3,547)	(3,054)	435	(2,650)	(3,846)	3,301	(3,557)	(2,749)
Net income	8,388	10,403	17,016	10,671	8,997	8,086	9,368	9,597
Other comprehensive income:								
Exchange differences translating foreign operations	(4,788)	1,448	(315)	(66)	1,266	(291)	34	(17)
Gain (loss) on interest rate swap	3,921	(4,670)	507	2,841	(4,954)	2,384	—	—
Total comprehensive income	7,521	7,181	17,208	13,446	5,309	10,179	9,402	9,580
Basic earnings per share	0.34	0.42	0.74	0.48	0.40	0.36	0.42	0.43
Fully diluted earnings per share	0.33	0.41	0.73	0.47	0.40	0.36	0.41	0.42
EBITDA	41,331	43,984	44,964	42,728	42,999	34,837	42,743	41,583
Adjusted net income ¹	12,715	18,611	23,482	17,015	14,844	25,168	16,445	14,827
Adjusted basic earnings per share ¹	0.51	0.74	1.02	0.76	0.66	1.13	0.74	0.66
Adjusted diluted earnings per share ¹	0.50	0.73	1.01	0.75	0.66	1.11	0.73	0.65
Adjusted EBITDA	42,184	48,034	48,481	45,552	44,453	51,770	46,150	42,869

¹ Prior year comparative figures have been adjusted to add back amortization of acquired intangible assets, foreign exchange (gain) loss, and LTIP tax deductibility to conform with current year presentation.

(in thousands of US dollars, except per share amounts)

	Q4 2024	Q3 2024	Q2 2024	Q1 2024	Q4 2023	Q3 2023	Q2 2023	Q1 2023
Cash flow from operating activities	\$ 34,893	\$ 38,580	\$ 37,454	\$ 36,856	\$ 37,597	\$ 25,939	\$ 24,675	\$ 29,980
Changes in non-cash working capital	6,073	29,123	(13,683)	(26,544)	28,216	33,187	28,076	39,770
Net cash from operating activities	40,966	67,703	23,771	10,312	65,813	59,126	52,751	69,750
Net cash (used in) from financing activities	(14,885)	54,090	(7,336)	(1,870)	(55,066)	(63,434)	(65,094)	(102,396)
Net cash used in investing activities	(5,432)	(124,150)	(12,540)	(5,336)	(10,577)	(2,429)	(5,109)	(4,727)
Increase (decrease) in cash and cash equivalent	20,649	(2,357)	3,895	3,106	170	(6,737)	(17,452)	(37,373)
Cash and cash equivalents, beginning of period	8,301	10,942	6,927	3,643	3,734	10,433	27,772	65,068
Foreign exchange (loss) gain on cash held in foreign currency	(839)	(284)	120	178	(261)	38	113	77
Cash and cash equivalents, end of period	\$ 28,111	\$ 8,301	\$ 10,942	\$ 6,927	\$ 3,643	\$ 3,734	\$ 10,433	\$ 27,772

The preceding tables provide selected quarterly financial information for our eight most recently completed fiscal quarters. This information is unaudited, but reflects all adjustments of a normal, recurring nature which are, in our opinion, necessary to present a fair statement of the results of operations for the periods presented. Quarter-to-quarter comparisons of our financial results are not necessarily meaningful and should not be relied upon as an indication of future performance. Historically, the first and fourth quarters can be seasonally slower periods for our business. In addition, net earnings reported in each quarter may be impacted by acquisitions, foreign currency fluctuations, and changes in customer buying patterns, sales force, competition, pricing inputs, and supply constraints.

4.2 Annual Financial Information

(in thousands of dollars except per share amounts)

	For the year ended December 31 2024	For the year ended December 31 2023	For the year ended December 31 2022
Total sales	\$ 2,184,258	\$ 2,239,324	\$ 2,579,568
Net income	46,478	36,048	128,668
Basic earnings per share	1.95	1.61	5.50
Fully diluted earnings per share	1.92	1.59	5.47
Total assets	1,397,651	1,232,119	1,428,974
Total non-current financial liabilities	484,739	477,526	488,574
Dividends declared	10,128	8,700	8,755

The decline in total sales from 2022 to 2024 was primarily due to product deflation following a period of accelerated inflation in the COVID-19 pandemic period.

5.0 Liquidity and Capital Resources

5.1 Cash Flows from Operating, Investing and Financing Activities

Selected Unaudited Consolidated Financial Information (in thousands of US dollars, except per share amounts)

	Year ended December 31			Three months ended December 31		
	2024	2023	\$ change	2024	2023	\$ change
Cash provided by operating activities before changes in non-cash working capital	\$ 147,783	\$ 118,191	\$ 29,592	\$ 34,893	\$ 37,597	\$ (2,704)
Changes in non-cash working capital	(5,031)	129,249	(134,280)	6,073	28,216	(22,143)
Net cash provided by operating activities	142,752	247,440	(104,688)	40,966	65,813	(24,847)
Net cash used in investing activities	(147,458)	(22,842)	(124,616)	(5,432)	(10,577)	5,145
Net cash provided by (used in) financing activities	29,999	(285,990)	315,989	(14,885)	(55,066)	40,181
Increase (decrease) in cash and cash equivalents	25,293	(61,392)	86,685	20,649	170	20,479
Cash and cash equivalents, beginning of period	3,643	65,068	(61,425)	8,301	3,734	4,567
Foreign exchange loss on cash position held in a foreign currency	(825)	(33)	(792)	(839)	(261)	(578)
Cash and cash equivalents, end of the period	\$ 28,111	\$ 3,643	\$ 24,468	\$ 28,111	\$ 3,643	\$ 24,468

Net cash provided by operating activities

For the year ended December 31, 2024, cash flow provided by operating activities was \$142.8 million, compared to \$247.4 million in 2023. The \$104.7 million decrease primarily reflects the \$129.2 million inflow of cash from the release of working capital in 2023, as well as a \$5.0 million utilization of working capital in 2024. Our investment in working capital in 2024 reflects a normal pace, contrasting sharply with the prior year when we were actively reducing inventory levels. The cash flow decrease was partially offset by a \$29.6 million increase in cash provided by operating activities before working capital relating primarily to higher net income after adjusting for non-cash items, and lower interest and income taxes paid as compared to the prior year. For further information on the changes in non-cash working capital, see Section 4.2.

For the three months ended December 31, 2024, cash flow provided by operating activities was \$41.0 million, compared to \$65.8 million in the same period last year. The \$24.8 million decrease is attributable to a \$22.1

million change in working capital investments primarily related to changes in our inventory levels as discussed above. In addition, there was a \$2.7 million decrease in cash provided by operating activities before changes in non-cash working capital in Q4 2024, as compared to the same period in the prior year.

Net cash used in investing activities

For the year ended December 31, 2024, net cash used in investing activities increased by \$124.6 million to \$147.5 million. The increase was mainly due to the acquisition of Woolf and payments made on trade duty notices (see section 7.0), partially offset by a decrease in investments made during the period.

For the three months ended December 31, 2024, net cash used in investing activities decreased by \$5.1 million to \$5.4 million. The decrease is attributed to a reduction in cash used for investments in Q4 2024, compared to the same period in the prior year.

Net cash provided in financing activities

For the year ended December 31, 2024, net cash provided by financing activities was \$30.0 million, compared to \$286.0 million used in financing activities in the prior year. The \$316.0 million change was primarily driven by net borrowings from bank indebtedness and the issuance of common shares for net proceeds of \$69.5 million (see section 5.7).

For the three months ended December 31, 2024, net cash used in financing activities decreased to \$14.9 million, from \$55.1 million in the prior-year period. The \$40.2 million change in net cash used in financing activities primarily relates to changes in bank indebtedness.

5.2 Working Capital

(in thousands of US dollars)

Source (use) of funds	Years ended December 31		Three months ended December 31	
	2024	2023	2024	2023
Accounts receivable	\$ 16,929	\$ 9,113	\$ 29,764	\$ 29,156
Inventories	10,927	120,823	12,821	29,903
Prepaid expenses	(11,373)	237	(7,621)	(1,944)
Accounts payable and accrued liabilities	(21,514)	(924)	(28,891)	(28,899)
Change in non-cash operating working capital	\$ (5,031)	\$ 129,249	\$ 6,073	\$ 28,216

Our business requires an ongoing investment in working capital which we consider to be comprised of accounts receivable, inventory, and prepaid expenses, partially offset by short-term credit provided by suppliers in the form of accounts payable and accrued liabilities. For the year ended December 31, 2024, \$5.0 million of cash was invested in working capital, as compared to \$129.2 million provided by working capital in 2023. Our investment in working capital in 2024 has returned to normal levels, and contrasts sharply with the prior-year period when we were actively reducing inventory.

Our investment in working capital may fluctuate from quarter-to-quarter based on factors such as sales demand, strategic purchasing decisions taken by management, and the timing of collections from customers. Historically, the first and fourth quarters can be seasonally slower periods for construction activity, resulting in reduced demand for architectural building products.

Continued compliance with financial covenants under our credit facility is important to ensure that we have adequate financing available to meet our working capital requirements. The terms of our credit facility are addressed in section 5.3 of this report.



5.3 Revolving Credit Facilities and Debt Management Strategy

Selected Unaudited Consolidated Financial Information (in thousands of US dollars, except percentages and ratios)

	As at December 31 2024	As at December 31 2023
Cash	\$ (28,111)	\$ (3,643)
Bank indebtedness	410,536	392,396
Net bank debt	382,425	388,753
Shareholders' equity	634,572	526,867
Capitalization	\$ 1,016,997	\$ 915,620
Net debt to capitalization	38%	42%
Previous 12 months Pro-forma Adjusted EBITDA ⁽¹⁾ ("Pro-forma Adjusted EBITDA")	\$ 198,269	\$ 185,242
Rental payments related to premises ⁽²⁾	(39,564)	(36,245)
Previous 12 months Pro-forma Adjusted EBITDA after rent	158,705	148,997
Net debt to previous 12 months Pro-forma Adjusted EBITDA after rent ("Leverage Ratio")	2.4	2.6

⁽¹⁾ Includes seven months of Woolf's pre-acquisition Adjusted EBITDA

⁽²⁾ Includes seven months of Woolf's pre-acquisition rental payments related to warehouses

We consider our capital to be debt (net of cash) and shareholders' equity. As at December 31, 2024, our overall net debt compared to total capitalization decreased to 38% from 42% as compared to December 31, 2023. Following the Woolf acquisition on July 29, 2024, Woolf's Adjusted EBITDA contribution has been annualized to illustrate the impact on our Pro-forma Adjusted EBITDA as if the acquisition had occurred at the beginning of the measurement period. As at December 31, 2024, our ratio of net debt-to-Pro-Forma-Adjusted-EBITDA after rent or Leverage Ratio, was 2.4 times.

On January 27, 2025, certain of our subsidiaries extended the existing credit arrangement with Bank of America, N.A. and a syndicate of lenders (the "Lender") for five years to January 27, 2030. The extended credit facilities consist of (i) a revolving credit facility of up to \$600 million, and (ii) a term loan of \$225 million with an amortizing balance and maturity date of January 2030. A summary of the Credit Facility as at December 31, 2024 is provided in the following table.

Selected unaudited consolidated financial information
(in millions of US dollars)

	Committed	Drawn
Revolving credit commitment	\$ 500.0	\$ 91.7
Term commitment	\$ 316.3	\$ 316.3
Total	\$ 816.3	\$408.0

Financial covenants include:

Consolidated interest coverage ratio	3.00:1
Consolidated leverage ratio	4.25:1

The Credit Facility bears interest at a rate equal to the Secured Overnight Financing Rate (SOFR) plus up to 2.25% or the base rate of interest charged by the Lender from time to time, plus up to 1.25%. The SOFR and base rate margins for the Credit Facility are subject to performance pricing adjustments, from time to time, based on our then applicable leverage ratio.

The financial covenants under the Credit Facility include, among others: (i) a consolidated interest coverage ratio (a ratio of Pro-Forma Adjusted EBITDA to total interest expense), and (ii) a consolidated leverage ratio (a ratio of total funded debt to Pro-Forma Adjusted EBITDA). In determining the consolidated leverage ratio for financial covenant purposes, total funded debt is the aggregate of bank indebtedness, outstanding letters of credit, and lease obligations. Adjusted EBITDA is reduced for rental payments for premises, cash payments for LTIP vesting and interest charges related to certain factoring arrangements, and excludes duties paid or payable related to the import of hardwood plywood from Vietnam.

Our debt management strategy is maintain financial flexibility to continue executing our strategic initiatives. We intend to maintain a base level of debt as part of our capital structure. Our intent is to roll and renew our credit facilities at or before the expiry date. We do not intend to restrict future dividends in order to fully extinguish our debt obligations upon their maturity. The amount of debt that will actually be drawn on our available revolving credit facilities will depend upon the seasonal and cyclical needs of the business and our cash generating capacity going forward. When making future dividend and share repurchase decisions, we will consider the amount of financial leverage, and therefore debt, we believe is appropriate given existing and expected market conditions and available business opportunities. We do not target a specific financial leverage amount. We believe our current credit facilities are sufficient to finance our working capital needs and provide us with the financial flexibility required to advance our strategic initiatives towards Destination 2028.

5.4 Contractual Obligations

There were no significant changes in our contractual commitments outside the normal course of business.

5.5 Off-Balance Sheet Arrangements

On July 11, 2023, we entered into an interest rate swap with a notional value of \$200 million to partially offset the variability in the expected interest cash flows related to the Term A-1 Loan. The fixed rate provided to us by the interest rate swap is approximately 33 basis points less than the variable borrowing rate as at December 31, 2024. The effective portion of any gains or losses related to the mark to market of the interest rate swap are recorded in other comprehensive income and the ineffective portion of any gains or losses are recorded in net income. Our interest rate swap was deemed effective in accordance with IFRS 9 as at December 31, 2024.

5.6 Financial Instruments

Financial instrument assets include cash and cash equivalents and current and non-current receivables which are designated as subsequently measured at amortized cost, and investments which are designated as fair value through profit or loss (FVTPL). Non-derivative financial instrument liabilities include bank indebtedness, accounts payable and accrued liabilities, income taxes payable, dividend payable, lease obligations and other liabilities. All financial liabilities, except for interest rate swaps, are designated as subsequently measured at amortized cost. Interest rate swaps are measured at fair value.

The carrying values of our cash and cash equivalents, accounts and other receivables, accounts payable and accrued liabilities, and dividends payable approximate their fair values due to the relatively short period to maturity of the instruments. The fair value of non-current receivables and investments, other liabilities and lease obligations are not expected to differ materially from their respective carrying value given the interest rates being charged and term to maturity. The carrying values of the credit facilities approximate their fair values due to the existence of floating market

based interest rates. In determining the fair value of our interest rate swap, we use the present value of expected cash flows based on the mark to market observable interest rate yield curves commensurate with the terms of the financial instrument.

5.7 Share Data

As at March 13, 2025, we had 25,068,668 common shares issued and outstanding.

On June 12, 2024, we issued 2,582,900 common shares at \$28.27 (C\$38.75) per common share through a bought deal treasury public offering ("Equity Raise"), raising total gross proceeds of \$72.9 million (C\$100.1 million). After deducting \$3.6 million (CAD\$4.9 million) in share issue costs, net proceeds from the Equity Raise were \$69.5 million (CAD\$95.2 million), which were used to repay bank indebtedness.

On December 28, 2023, we announced the renewal of our normal course issuer bid (NCIB) to buy back up to 1,702,309 common shares from January 2, 2024, to December 31, 2024, through the TSX and alternative trading systems. This approximates 10% of our public float as of December 19, 2023. No shares were repurchased in 2024 (2023: 421,811 shares repurchased).

On December 30, 2024, we announced the renewal of our NCIB to buy back up to 2,391,609 common shares from January 2, 2025, to December 31, 2025, through the TSX and alternative trading systems. This approximates 10% of our public float as of December 19, 2024.

As of March 13, 2025, we had 207,778 performance shares units and 332,139 restricted share units outstanding under our long-term incentive plan. These units can be settled in common shares issued from treasury or purchased from the market, or in cash equal to the fair value of our common shares, or any combination of the foregoing. Each restricted share unit is settled for one common share and each performance share unit is settled for up to two common shares, based on the payout multiplier. The units vest over up to three years and employees can choose to receive up to half the fair value in cash and the remainder in common shares. We intend to issue

common shares from treasury to settle the portion not paid in cash.

5.8 Dividends

In the fourth quarter of 2024, we declared a quarterly dividend of C\$0.15 per common share, which was paid on January 31, 2025 to shareholders of record as of January 20, 2025. On March 13, 2025, we declared a quarterly dividend of C\$0.15 per common share, payable on April 25, 2025 to shareholders of record as at April 14, 2025.

6.0 Related-Party Transactions

There were no material related-party transactions during the years ended December 31, 2024 and December 31, 2023.

7.0 Critical Accounting Estimates & Adoption of Changes in Accounting Policies

The preparation of financial statements in accordance with IFRS requires that we make estimates and assumptions that can have a material impact on our results of operations as reported on a periodic basis. We base our estimates and assumptions on past experience and other factors that are deemed reasonable under the circumstances. Actual results could differ from these estimates. The critical estimates used in preparing our financial statements are:

Leases: We estimate and make assumptions related to leases, including the discount rates, lease terms and renewal options.

Goodwill impairment testing: We estimate factors such as determining the cash generating unit ("CGU") to which goodwill relates, the recoverable amount of a CGU, gross margin percentage, and the discount rates. The value assigned to these factors is based on management's estimate of future trends and is based on historical data from both internal and external sources.

Accounts receivable provision: Due to the nature of our business and the credit terms we provide to our customers, we anticipate that a certain portion of required customer payments will not be made, and we maintain an allowance for these doubtful accounts. The allowance is based on our estimate of the potential of recovering our accounts receivable, and incorporates current and expected collection trends.

Valuation of inventory: We estimate the net realizable value of our inventory, which can materially impact recognized inventory values.

Interest rate swap: We estimate the valuation and effectiveness of our interest rate swap, which may impact the values recognized in other comprehensive income for the effective portion, net income for the ineffective portion, and the carrying amount of the financial instrument.

Business acquisitions: We estimate the fair value of the contingent consideration, assets acquired and liabilities assumed in business acquisitions. In 2024, we made estimates with respect to the Woolf acquisition.

8.0 Risks and Uncertainties

On July 14, 2023, the US Department of Commerce ("Commerce") issued its final determination ("Final Determination") with respect to certain hardwood plywood products produced in Vietnam that Commerce believes are circumventing a previously established anti-dumping and countervailing duty order against hardwood plywood from China (the "Circumventing Products").

As a result of the Final Determination, we estimate the value of products imported from Vietnam subject to potential duties is approximately \$7.6 million. The duty rate in this trade case is 206%, which will be applied against the \$7.6 million of products we imported from Vietnam. With the issuance of this Final Determination, we accrued duties of \$15.6 million and recorded the related impact in our selling, distribution and administration expense for the year ended December 31, 2023.

The Circumventing Products are specifically defined by Commerce and we believe that the products we import from Vietnam do not meet Commerce's definition of Circumventing Products, and should therefore not be subject to duties. There are well established legal avenues to appeal Commerce's Final Determination and we intend to vigorously pursue recovery of the duties paid. The appeal process is typically a multi-year procedure, however, and the actual timing and outcome of the appeal is not estimable at this time.

As of December 31, 2024, we received notices to pay duties of \$25.7 million. This includes certain notices related to imports that we believe are outside the scope of the Final Determination. We are challenging these out-of-scope notices. While our challenge is pending, we have elected to pay the out of scope notices to avoid interest and penalties. As at December 31, 2024 we have paid \$10.4 million related to the out-of-scope notices, which are included as an asset in the consolidated statement of financial position.

To the extent we are unsuccessful in challenging the out-of-scope notices and are unable to recover the related payments, then such payments would instead be recorded as selling, distribution and administration expenses. The timing and outcome of our challenge is not estimable at this time.

On August 7, 2024, Commerce announced the preliminary results of a further administrative review regarding the Circumventing Products. Based on these results, we believe that some of the products we import that were previously categorized as Circumventing Products may no longer fall under that classification, and we may be eligible for a refund on a significant portion of the duties paid. In issuing its preliminary results Commerce noted that their findings are provisional and subject to change. We expect Commerce to issue a final decision on the results of their administrative review in 2025. The timing of the final determination could change and the outcome is not estimable at this time.

We are exposed to a number of risks and uncertainties in the normal course of business that could have a negative effect on our financial condition or results of operations. We identify significant risks that we were aware of in our Annual Information Form, which

is available to readers along with other disclosure documents at www.sedarplus.ca.

9.0 Internal Control over Financial Reporting

Our management is responsible for establishing and maintaining adequate disclosure controls and procedures ("DC&P") and internal control over financial reporting ("ICFR"). Any systems of DC&P and ICFR, no matter how well designed, have inherent limitations. Therefore, even those systems determined to be effective can provide only reasonable assurance with respect to information required to be disclosed and financial statement preparation and presentation.

As required by National Instrument 52-109 issued by the Canadian Securities Administrators, we carried out an evaluation of the effectiveness of our DC&P as of December 31, 2024. The evaluation was carried out under the supervision of, and with the participation of, the CEO and CFO. Based on this evaluation, our CEO and CFO concluded that our DC&P were effective as of December 31, 2024.

As required by National Instrument 52-109 issued by the Canadian Securities Administrators, we carried out an evaluation of the effectiveness of our ICFR as of December 31, 2024. The evaluation was carried out within the criteria set forth by the Committee of Sponsoring Organizations of the Treadway Commission ("COSO") in Internal Control - Integrated Framework (2013) and under the supervision of, and with the participation of, our CEO and the CFO. Based on this evaluation, our CEO and CFO concluded that our ICFR was effective as of December 31, 2024.

There have not been any changes in our ICFR during the year ended December 31, 2024 that have materially affected, or are reasonably likely to materially affect, our ICFR.

In accordance with National Instrument 52-109 issued by the Canadian Securities Administrators, we have limited the design and disclosure controls and procedures and internal controls over financial reporting to exclude controls, policies and procedures

of Woolf, which was acquired not more than 365 days before the end of the year ended December 31, 2024. Included in our consolidated financial statements for the years ended December 31, 2024 and 2023 is summary financial information related to Woolf.

10.0 Note Regarding Forward Looking Information

Certain statements in this MD&A contain forward-looking information within the meaning of applicable securities laws in Canada ("forward-looking information"). The words "anticipates", "believes", "budgets", "could", "estimates", "expects", "forecasts", "intends", "may", "might", "plans", "projects", "schedule", "should", "will", "would" and similar expressions are often intended to identify forward-looking information, although not all forward-looking information contains these identifying words.

Forward-looking information is included, but not limited to: In the current evolving and uncertain economic landscape, we are well-positioned to navigate challenges; our pricing pass-through revenue models ensures that cost fluctuations are reflected expeditiously, minimizing risk exposure; Looking ahead, we expect to generate additional cash flow in fiscal 2025, enabling further debt repayment; Our capital priorities include a focused approach to executing our robust pipeline of acquisition opportunities; Dividends and opportunistic share repurchases are also an important part of our capital allocation plan; This acquisition also enhances our access to the attractive Pro Dealer customer channel, where we anticipate strong and sustained demand from the new residential and repair and remodel markets; Market headwinds have persisted into early 2025, with elevated US mortgage rates and constrained housing supply contributing to continued affordability issues, and the onset of a trade war between US and its key trading partners increasing the prospect of renewed inflationary pressure and economic uncertainty; ADENTRA's potential tariff exposure could be limited; an estimated 92% of purchases not anticipated to be impacted by tariffs that were declared in March, or those expected to come into effect in April; In the event tariffs are implemented that lead to renewed

inflationary pressures, the Company operates under a pricing pass-through revenue model, allowing it to adjust pricing in response to market fluctuations within a reasonable timeframe; The broader economic impact of tariffs, including inflationary pressures and potential constraints on growth, adds uncertainty to the near-term outlook; US housing activity, already facing affordability challenges, may experience further headwinds, Long-term fundamentals however remain intact, supported by historic undersupply, favorable demographics, strong home equity levels, and an aging housing stock; Our focus on cost control, global sourcing, vendor management, and high-value, installation-ready products, combined with advanced data analytics and digital capabilities, strengthens our ability to optimize asset management, maintain pricing discipline, and capitalize on market opportunities as they arise; Historically, the first and fourth quarters can be seasonally slower periods for our business; In addition, net earnings reported in each quarter may be impacted by acquisitions, foreign currency fluctuations, and changes in customer buying patterns, sales force, competition, pricing inputs, and supply constraint; Our investment in working capital may fluctuate from quarter-to-quarter based on factors such as sales demand, strategic purchasing decisions taken by management, and the timing of collections from customers; Historically, the first and fourth quarters can be seasonally slower periods for construction activity, resulting in reduced demand for architectural building products; Our debt management strategy is to repay a portion of our credit facilities related to acquisitions, and maintain a base level of debt as part of our capital structure; Our intent is to roll and renew our credit facilities when they expire; We do not intend to restrict future dividends in order to fully extinguish our debt obligations upon their maturity; The amount of debt that will actually be drawn on our available revolving credit facilities will depend upon the seasonal and cyclical needs of the business and our cash generating capacity going forward; When making future dividend and share repurchase decisions, we will consider the amount of financial leverage, and therefore debt, we believe is appropriate given existing and expected market conditions and available business opportunities; We do not target a specific financial leverage amount; We believe our current credit facilities are sufficient to finance our working capital needs and market expansion strategy;

The fair value of non-current receivables, notes payable, other liabilities and finance lease obligations are not expected to differ materially from carrying value given the interest rates being charged and term to maturity; We intend to vigorously pursue recovery of the duties paid. The appeal process is typically a multi-year procedure, however, and the actual timing and outcome of the appeal is not estimable at this time; To the extent we are unsuccessful in challenging the out-of-scope notices and are unable to recover the related payments, then such payments would instead be recorded as selling, distribution and administration expenses; The timing and outcome of our challenge is not estimable at this time; we may be eligible for a refund on a significant portion of the duties paid; In issuing its preliminary results Commerce noted that their findings are provisional and subject to change; We expect Commerce to issue a final decision on the results of their administrative review in 2025; and the timing of the final determination could change and the outcome is not estimable at this time.

The forecasts and projections that make up the forward-looking information are based on assumptions which include, but are not limited to: there are no material exchange rate fluctuations between the Canadian and US dollar that affect our performance; the general state of the economy does not worsen; we do not lose any key personnel; there is no labor shortage across multiple geographic locations; there are no circumstances, of which we are aware that could lead to the Company incurring costs for environmental remediation; there are no decreases in the supply of, demand for, or market values of our products that harm our business; we do not incur material losses related to credit provided to our customers; our products are not subjected to negative trade outcomes; we are able to sustain our level of sales and earnings margins; we are able to grow our business long term and to manage our growth; we are able to integrate acquired businesses; there is no new competition in our markets that leads to reduced revenues and profitability; we can comply with existing regulations and will not become subject to more stringent regulations; no material product liability claims; importation of components or other innovative products does not increase and replace products manufactured in North America; our management information systems upon which

we are dependent are not impaired; we are not adversely impacted by disruptive technologies; an outbreak or escalation of a contagious disease does not adversely affect our business; and, our insurance is sufficient to cover losses that may occur as a result of our operations.

The forward-looking information is subject to risks, uncertainties and other factors that could cause actual results to differ materially from historical results or results anticipated by the forward-looking information. The factors which could cause results to differ from current expectations include, but are not limited to: exchange rate fluctuations between the Canadian and US dollar could affect our performance; tariff policies extending to regions not currently under discussion; our results are dependent upon the general state of the economy; the impacts of COVID-19, further mutations thereof or other outbreaks of disease, could have significant impacts on our business; we depend on key personnel, the loss of which could harm our business; a labour shortage across multiple geographic locations could harm our business; decreases in the supply of, demand for, or market values of hardwood lumber or sheet goods could harm our business; we may incur losses related to credit provided to our customers; our products may be subject to negative trade outcomes; we may not be able to sustain our level of sales or earnings margins; we may be unable to grow our business long term or to manage any growth; we are unable to integrate acquired businesses; competition in our markets may lead to reduced revenues and profitability; we may fail to comply with existing regulations or become subject to more stringent regulations; product liability claims could affect our revenues, profitability and reputation; importation of components or other innovative products may increase, and replace products manufactured in North America; disruptive technologies could lead to reduced revenues or a change in our business model; we are dependent upon our management information systems; disruptive technologies could lead to reduced revenues or a change in our business model; our information systems are subject to cyber securities risks; our insurance may be insufficient to cover losses that may occur as a result of our operations; an outbreak or escalation of a contagious disease may adversely affect our business; our credit facility affects our liquidity, contains restrictions on our ability to

borrow funds, and impose restrictions on distributions that can be made by us and certain of our subsidiaries; the market price of our Shares will fluctuate; there is a possibility of dilution of existing Shareholders; and, other risks described in our Annual Information Form, our Information Circular and in this MD&A.

This MD&A contains information that may constitute a “financial outlook” within the meaning of applicable securities laws. The financial outlook has been approved by our management as of the date of this MD&A. The financial outlook is provided for the purpose of providing readers with an understanding of our anticipated financial performance. Readers are cautioned that the information contained in the financial outlook may not be appropriate for other purposes.

All forward-looking information in this MD&A is qualified in its entirety by this cautionary statement and, except as may be required by law, we undertake no obligation to revise or update any forward-looking information as a result of new information, future events or otherwise after the date hereof.

11.0 Third Party Information

Certain information contained in this MD&A includes market and industry data that has been obtained from or is based upon estimates derived from third-party sources, including industry publications, reports and websites. Although the data is believed to be reliable, we have not independently verified the accuracy, currency or completeness of any of the information from third-party sources referred to in this MD&A or ascertained from the underlying economic assumptions relied upon by such sources. We hereby disclaim any responsibility or liability whatsoever in respect of any third-party sources of market and industry data or information.

Independent Auditor's Report

To the Shareholders of ADENTRA Inc.

Opinion

We have audited the consolidated financial statements of ADENTRA Inc. (the Entity), which comprise:

- the consolidated statements of financial position as at December 31, 2024 and December 31, 2023
- the consolidated statements of comprehensive income for the years then ended
- the consolidated statements of changes in shareholders' equity for the years then ended
- the consolidated statements of cash flows for the years then ended
- and notes to the consolidated financial statements, including a summary of material accounting policies

(Hereinafter referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the consolidated financial position of the Entity as at December 31, 2024 and December 31, 2023, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with IFRS Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the **"Auditor's Responsibilities for the Audit of the Financial Statements"** section of our auditor's report.

We are independent of the Entity in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended December 31, 2024. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the key audit matters to be communicated in our auditor's report.

Evaluation of the acquisition date fair value of intangible assets related to business acquisition

Description of the matter

We draw attention to Notes 3(a) and 4 to the financial statements. On July 29, 2024, the Entity acquired substantially all of the assets and assumed certain working capital liabilities of Woolf Distributing Co. Inc. ("Woolf"), for a total purchase price of \$131.8 million. In connection with the Woolf transaction, the Entity recorded customer relationships (the "Intangible Assets"). The acquisition date fair value of the Intangible Assets was \$60,570 thousand. The fair value of the Intangible Assets of Woolf was calculated by the Entity using a multi-period excess earnings model. The Entity's significant assumptions in determining the acquisition date fair value of the Intangible Assets include revenue forecasts relating to Woolf's existing customers at the time of the acquisition, estimated customer attrition rates, forecasted earnings before interest, tax, depreciation and amortization ("EBITDA") margin and the discount rate.

Why the matter is a key matter

We identified the evaluation of the acquisition date fair value of Intangible Assets acquired in the Woolf acquisition as a key audit matter. This matter represented an area of significant risk of material

misstatement given the magnitude of Intangible Assets. Further, there was a high degree of estimation uncertainty in determining the fair value of the Intangible Assets. In addition, significant auditor judgment and specialized skills and knowledge were required in evaluating the results of our audit procedures due to the sensitivity of the Entity's determination of the fair value of Intangible Assets to minor changes to the significant assumptions.

How the matter was addressed in the audit

The primary procedures we performed to address this key audit matter included the following:

- We evaluated the appropriateness of the revenue forecasts, estimated customer attrition rates and forecasted EBITDA margin assumptions by comparing to the historical results. We considered changes in conditions and events affecting the Entity to assess the adjustments or lack of adjustments made by the Entity in arriving at the assumptions.
- We involved valuations professionals with specialized skills and knowledge, who assisted in evaluating the appropriateness of the discount rate. The discount rate used was compared against a range of discount rates that was independently developed using publicly available market data for comparable entities.

Evaluation of the goodwill impairment assessment

Description of the matter

We draw attention to Notes 3(h) and 12 to the financial statements. The goodwill balance is \$200,496 thousand. The Entity tests goodwill for impairment on an annual basis. The Entity also performs an impairment test whenever events or changes in circumstances indicate that the carrying value of a cash generating unit exceeds its recoverable amount.

The recoverable amount of an asset or cash generating unit is the greater of its value in use or its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value. Significant assumptions used

in determining the recoverable amount include gross margin percentages and discount rates.

Why the matter is a key audit matter

We identified the evaluation of the goodwill impairment assessment for the Rugby, Mid-Am, and Novo groups of cash generating units to be a key audit matter. The recoverable amounts are sensitive to minor changes in the significant assumptions. Significant auditor judgment was required in evaluating the results of our audit procedures. Further, professionals with specialized skills and knowledge were needed to evaluate the discount rates.

How the matter was addressed in the audit

The primary procedures we performed to address this key audit matter included the following:

- We evaluated the appropriateness of the gross margin percentage assumptions by comparing to historical results for up to three years. We considered changes in conditions and events affecting the Entity to assess the adjustments or lack of adjustments made by the Entity in arriving at the assumptions.
- We involved valuations professionals with specialized skills and knowledge, who assisted in evaluating the appropriateness of the discount rate assumptions used in the estimated values in use, by comparing them against a discount rate range that was independently developed using publicly available market data for comparable entities.

Other Information

Management is responsible for the other information. Other information comprises:

- the information included in Management's Discussion and Analysis filed with the relevant Canadian Securities Commissions.
- the information, other than the financial statements and the auditor's report thereon, included in the "Annual Report".

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit and remain alert for indications that the other information appears to be materially misstated.

We obtained the information included in Management's Discussion and Analysis filed with the relevant Canadian Securities Commissions and the information included in the "Annual Report", as at the date of this auditor's report. If, based on the work we have performed on this other information, we conclude that there is a material misstatement of this other information, we are required to report that fact in the auditor's report.

We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Entity's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Entity or to cease operations, or has no realistic alternative but to do so.

Those charge with governance are responsible for overseeing the Entity's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.

The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Entity's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Entity to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- Provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of group audit. We remain solely responsible for our audit opinion.

- Determine, from the matters communicated with those charged with governance, those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditor's report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



Chartered Professional Accountants

The engagement partner on the audit resulting in this auditor's report is Tara Gill.

Vancouver, Canada | March 13, 2025



Consolidated Statements of Financial Position

(Expressed in thousands of US dollars, unless stated otherwise)

	Notes	December 31, 2024	December 31, 2023
ASSETS			
<i>Current assets</i>			
Cash and cash equivalents		\$ 28,111	\$ 3,643
Receivables and investments	6, 7	184,993	189,157
Income taxes receivable	15	3,980	8,919
Inventories	8	375,718	365,777
Prepaid expenses		27,840	16,556
Total current assets		620,642	584,052
<i>Non-current assets</i>			
Receivables and investments	6, 7	28,309	7,980
Property, plant and equipment	9	41,188	38,134
Right of use assets	10	196,101	157,095
Intangible assets	11	305,459	260,098
Deferred income taxes	15	5,456	3,632
Goodwill	12	200,496	181,128
Total non-current assets		777,009	648,067
Total assets		\$ 1,397,651	\$ 1,232,119
LIABILITIES AND SHAREHOLDERS' EQUITY			
<i>Current liabilities</i>			
Bank indebtedness	13	\$ 115,347	\$ 59,050
Accounts payable and accrued liabilities		121,080	131,993
Lease obligations	10	39,305	34,309
Dividend payable	5	2,608	2,374
Total current liabilities		278,340	227,726
<i>Non-current liabilities</i>			
Bank indebtedness	13	295,189	333,346
Lease obligations	10	173,225	137,324
Deferred income taxes	15	6,302	—
Other liabilities		10,023	6,856
Total non-current liabilities		484,739	477,526
Total liabilities		763,079	705,252
<i>Shareholders' equity</i>			
Share capital	14(a)	238,076	167,960
Contributed surplus		85,762	83,401
Retained earnings		329,025	292,675
Accumulated other comprehensive loss		(18,291)	(17,169)
Shareholders' equity		634,572	526,867
Total liabilities and shareholders' equity		\$ 1,397,651	\$ 1,232,119

Subsequent event (Note 13)

The accompanying notes are an integral part of these consolidated financial statements.

Approved on behalf of the Board of Directors:

(Signed) Jim C. Macaulay Director

(Signed) Qi Tang Director

Consolidated Statements of Comprehensive Income

(Expressed in thousands of US dollars, unless stated otherwise)

Years ended December 31, 2024 and 2023

	Notes	2024	2023
Sales	17	\$ 2,184,258	\$ 2,239,324
Cost of goods sold	8	(1,710,194)	(1,773,222)
Gross profit		474,064	466,102
<i>Operating expenses</i>			
Selling, distribution, and administration		(308,862)	(310,229)
Depreciation		(42,773)	(40,515)
Amortization of intangible assets	11	(25,521)	(23,053)
		(377,156)	(373,797)
Income from operations		96,908	92,305
Net finance expense	16	(41,614)	(49,406)
Income before income taxes		55,294	42,899
<i>Income tax expense</i>			
Current	15	(5,664)	(3,846)
Deferred	15	(3,152)	(3,005)
		(8,816)	(6,851)
Net income		46,478	36,048
<i>Other comprehensive income (loss), net of tax</i>			
<i>Items that may be reclassified subsequently to profit or loss:</i>			
Exchange differences translating foreign operations		(3,721)	992
Gain (loss) on interest rate swap, net of tax	6	2,599	(2,570)
Other comprehensive loss, net of tax		(1,122)	(1,578)
Total comprehensive income		\$ 45,356	\$ 34,470
Basic earnings per share	14(c)	\$ 1.95	\$ 1.61
Diluted earnings per share	14(c)	\$ 1.92	\$ 1.59

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated Statements of Changes in Shareholders' Equity

(Expressed in thousands of US dollars, unless stated otherwise)

Years ended December 31, 2024 and 2023

	Notes	Share capital	Contributed surplus	Accumulated other comprehensive income (loss)	Retained earnings	Total
Balance at January 1, 2024		\$ 167,960	\$ 83,401	\$ (17,169)	\$ 292,675	\$ 526,867
Share based compensation expense	14(b)	—	3,019	—	—	3,019
Shares issued pursuant to LTIP	14(a)	658	(658)	—	—	—
Shares issued in connection with equity offering, net of share issuance costs	14(a)	69,458	—	—	—	69,458
Net income for the year		—	—	—	46,478	46,478
Dividends declared	5	—	—	—	(10,128)	(10,128)
Gain on interest rate swap, net of tax	6	—	—	2,599	—	2,599
Translation of foreign operations		—	—	(3,721)	—	(3,721)
Balance at December 31, 2024		\$ 238,076	\$ 85,762	\$ (18,291)	\$ 329,025	\$ 634,572
Balance at January 1, 2023		\$ 168,451	\$ 88,785	\$ (15,591)	\$ 265,327	\$ 506,972
Share based compensation expense	14(b)	—	3,369	—	—	3,369
Shares issued pursuant to LTIP	14(a)	2,362	(2,362)	—	—	—
Shares repurchased	14(a)	(2,853)	(6,391)	—	—	(9,244)
Net income for the year		—	—	—	36,048	36,048
Dividends declared	5	—	—	—	(8,700)	(8,700)
Loss on interest rate swap, net of tax	6	—	—	(2,570)	—	(2,570)
Translation of foreign operations		—	—	992	—	992
Balance at December 31, 2023		\$ 167,960	\$ 83,401	\$ (17,169)	\$ 292,675	\$ 526,867

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated Statements of Cash Flows

(Expressed in thousands of US dollars, unless stated otherwise)

Years ended December 31, 2024 and 2023

	Notes	2024	2023
Cash flow from operating activities:			
Net income for the year		\$ 46,478	\$ 36,048
Adjustments for:			
Depreciation and amortization		76,099	69,857
Gain on sale of property, plant and equipment	9, 10	(430)	(597)
Share-based compensation expense	14(b)	9,309	7,440
Income tax expense	15	8,816	6,851
Net finance expense	16	41,614	49,406
Interest received		911	625
Interest paid		(34,290)	(42,664)
Income taxes paid		(724)	(8,775)
		147,783	118,191
Changes in non-cash working capital:			
Accounts receivable		16,929	9,113
Inventories		10,927	120,823
Prepaid expenses		(11,373)	237
Accounts payable and accrued liabilities		(21,514)	(924)
		(5,031)	129,249
Net cash from operating activities		142,752	247,440
Cash flow from (used in) financing activities			
Repayment of long-term bank indebtedness	13	(40,000)	(20,000)
Issuance (repayment) of short-term bank indebtedness	13	58,223	(203,595)
Principal payments on lease obligations		(48,050)	(44,596)
Equity offering, net of share issuance costs	14(a)	69,458	—
Repurchase of common shares	14(a)	—	(9,244)
Dividends paid to shareholders	5	(9,632)	(8,555)
Net cash from (used in) financing activities		29,999	(285,990)
Cash flow from investing activities:			
Additions to property, plant and equipment	9	(8,200)	(10,635)
Proceeds on disposal of property, plant and equipment		327	700
Business acquisitions	4	(122,250)	(1,300)
Additions to internally generated software	11	(1,007)	(1,146)
Increase in non-current receivables		(15,383)	(242)
Increase in investments		(945)	(10,219)
Net cash used in investing activities		(147,458)	(22,842)
Increase (decrease) in cash and cash equivalents		25,293	(61,392)
Cash and cash equivalents, beginning of year		3,643	65,068
Foreign exchange loss on cash held in foreign currency		(825)	(33)
Cash and cash equivalents, end of year		\$ 28,111	\$ 3,643
Supplementary information:			
Property, plant and equipment acquired under lease, net of disposals		\$ 72,977	\$ 36,448

The accompanying notes are an integral part of these consolidated financial statements.

Notes to the Consolidated Financial Statements

(Tabular amounts expressed in thousands of US dollars, unless stated otherwise)

Years ended December 31, 2024 and 2023

1. Nature of operations

ADENTRA Inc. (the “Company”) is incorporated under the Canada Business Corporations Act and trades on the Toronto Stock Exchange under the symbol “ADEN”. The Company operates a network of 86 regional customer service centers in Canada and the US engaged in the wholesale distribution of architectural building products. The Company’s principal office is located at #340, 20161 86th Avenue, Langley, British Columbia V2Y 2C1.

2. Basis of preparation

(a) Statement of compliance

These consolidated financial statements of the Company have been prepared in accordance with IFRS Accounting Standards (“IFRS”). The consolidated financial statements were authorized for issue by the Board of Directors on March 13, 2025.

(b) Basis of measurement

These consolidated financial statements have been prepared on a going concern basis. Note that the prior year amounts for operating expenses on the Consolidated Statements of Comprehensive Income and the cash flow change in investments on the Consolidated Statements of Cash Flows have been reclassified to conform to current period’s presentation.

(c) Use of estimates and judgments

The preparation of these consolidated financial statements in accordance with IFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenue and expenses during the reporting year. Actual amounts may differ from the estimates applied in the preparation of these consolidated financial statements.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the year in which the estimates are revised and in any future years affected.

The key judgments and assumptions made by management that significantly affect the amounts recognized in the consolidated financial statements, and the major sources of estimation uncertainty include: business acquisitions, valuation of interest rate swaps, collectability of accounts receivable, valuation of inventories, annual goodwill impairment tests including the determination of cash generating units (“CGU’s”) recognition and valuation of deferred income taxes and the use of tax loss carryforwards, and the classification and valuation of lease obligations.

In assessing the Company’s leases, judgment is required in determining whether substantially all of the risks and rewards of ownership are transferred to the Company. This involves assessing the term of each lease, the risk associated with the residual value of leased vehicles and assessing the present value of the minimum lease payments in relation to the fair value of the facilities, vehicles, and forklifts at the inception of the lease.

For deferred income taxes, the Company estimates whether it is probable that the net deferred tax assets will be realized prior to their expiry. In making such a determination, the Company considers the carry forward periods of losses and the Company’s projected future taxable income.

3. Material accounting policies

The material accounting policies that have been used in the preparation of these consolidated financial statements are summarized below. These accounting policies have been applied consistently by the Company and its subsidiaries to all years presented in these consolidated financial statements.

(a) Principles of consolidation and business acquisitions

These consolidated financial statements include the accounts of the Company and its subsidiaries. All significant inter-company balances and transactions have been eliminated upon consolidation.

The Company accounts for business combinations using the acquisition method when control is transferred to the Company. The consideration transferred in the acquisition is measured at fair value, as are the identifiable net assets acquired. The Company measures goodwill in business acquisitions as the fair value of the consideration transferred less the fair value of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. Associated transaction costs are expensed as incurred.

(b) Foreign currencies

The Company’s subsidiaries operating in the United States have a US dollar functional currency, and those operating in Canada have a Canadian dollar functional currency. The Company’s presentation currency is the US dollar.

Foreign currency transactions

Monetary assets and liabilities denominated in foreign currencies are translated at the exchange rate as of the reporting date. Non-monetary items in a foreign currency are translated using the foreign exchange rate at the date of transaction. Foreign currency differences are recognized in net income or loss and presented within finance expense.

Translation of foreign operations for consolidation

For purposes of consolidation, the assets and liabilities of foreign operations are translated to US dollar using the rate of exchange in effect at the financial statement date. Revenue and expenses of the foreign operations are translated to US dollars at exchange rates at the average monthly exchange rate in effect during the period. Foreign currency differences are recognized in other comprehensive income and are accumulated in the translation reserve.

Gains or losses arising from a monetary item receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely in the foreseeable future, are considered to form part of the net investment in a foreign operation and are recognized directly in other comprehensive income.

(c) Segment reporting

Operating segments are based on the information about the components of the business that management uses to make decisions about operating matters. The subsidiaries of the Company engage in one main business activity being the sourcing and distribution of architectural building products, hence operating segment information is not provided. Geographical segment information is provided by country of operations in note 17.

(d) Receivables

Receivable are carried at cost, which is equivalent to fair market value on initial recognition. Subsequent measurements are recorded at amortized cost using the effective interest rate method. For the Company, this measurement is usually equivalent to cost due to their short-term maturities. At each period end, the Company estimates the expected credit losses. The net change in expected credit losses on receivables is recognized in net earnings.

(e) Inventories

Finished goods are measured at the lower of cost and net realizable value. Raw materials are measured at the lower of cost and replacement cost. Work-in-process and goods-in-transit are measured at cost. For purchased wood products, cost is determined using the weighted average cost method and includes invoice cost, duties, freight, and other directly attributable costs of acquiring the inventory. For manufactured products, cost is defined as all costs that relate to bringing the inventory to its present condition and location under normal operating conditions and includes manufacturing costs, such as raw materials and labor and production overhead.

Net realizable value is the estimated selling price in the ordinary course of business less any applicable selling expenses.

Volume rebates and other supplier discounts are accounted for as a reduction of the cost of the related inventory and are earned when inventory is sold.

(f) Leases

Right-of-use asset

The Company recognizes a right-of-use asset at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, less any lease incentives received. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liabilities.

Lease obligation

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily

determined, the Company's incremental borrowing rate. The lease payments include fixed lease payments, amounts expected to be payable under a residual value guarantee, the exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee or if the Company changes its assessment of whether it will exercise a purchase, extension or termination option.

(g) Intangible assets

Intangible assets with finite lives consist of acquired customer relationships, trademarks, and costs capitalized for internally generated software. Intangible assets are amortized on a straight-line basis over their estimated useful lives and measured at cost less accumulated amortization. Customer relationships are amortized between 10 and 15 years, trademarks are amortized over 12 years, and costs capitalized for internally generated software are amortized over 10 years. Costs capitalized for internally generated software consist of costs incurred in the development and implementation of the software and amortization begins when the software is substantially completed and ready for use.

(h) Goodwill

Goodwill represents the excess, at the dates of acquisition, of the purchase price over the fair value of the net amounts assigned to individual assets acquired and liabilities assumed relating to business acquisitions. After initial measurement in a business combination, goodwill is recorded at cost less accumulated impairment losses.

Goodwill is allocated to the cash generating unit or group of cash generating units that are expected to

receive the benefits from the business combinations. The Company tests goodwill for impairment on an annual basis. The Company also performs an impairment test whenever events or changes in circumstances indicate that the carrying value of a cash generating unit exceeds its recoverable amount. An impairment loss for goodwill is not reversed.

(i) Impairment

Non-financial assets

The carrying values of the Company's non-financial assets, excluding goodwill, are reviewed at each reporting date to assess whether there is any indication of impairment. If any such indication is present, then the recoverable amount of the assets is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use or its fair value less costs to sell. An impairment loss is recognized in net income or loss if the carrying amount of an asset or cash generating unit exceeds its estimated recoverable amount.

Financial assets

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. The Company considers evidence of impairment for financial assets, and in particular receivables, at both a specific asset and account balance level. For trade accounts receivables, the Company uses an estimate of the net recoverable amount for specific customer accounts it has identified and the expected credit loss model for the remaining customer accounts based on historical experience of uncollectible amounts. Accounts that are considered uncollectible are written off.

(j) Financial liabilities

Loans, payables, and lease obligations are non-derivative financial liabilities with fixed or determinable payments that are not quoted in an active market. After initial recognition these liabilities are measured at amortized cost using the effective interest method. Discounting is omitted when the effect of discounting is immaterial. The revolving bank line of credit is not

discounted; rather, actual interest accrued is based on the daily balances and is recorded each month.

(k) Provisions

Provisions are recognized in the statement of financial position when the Company has a present legal or constructive obligation as a result of a past event, it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

(l) Interest rate swaps

The Company uses interest rate swaps to manage interest rate risk. These swaps are designated as cash flow hedges. An interest rate swap is initially measured at fair value and is recognized as either an asset or liability in the consolidated statements of financial position. Subsequent changes in the fair value of an interest rate swap are recognized in other comprehensive income (loss) for the portion of the swap that is considered effective. Subsequent changes in the fair value of an interest rate swap that relate to an ineffective portion are recognized in net income.

Sources of ineffectiveness includes the calculation of credit value adjustment to determine the fair value of the hedging instrument will result in additional discount compared to the hedged item, the underlying hedged item has an embedded floor while the hedging instrument has no floor, and business day convention of the hedged item is different from the hedging instrument. The Company does not expect the sources of ineffectiveness to be a significant amount.

In determining the fair value of the Company's interest rate swap, the Company uses the present value of expected cash flows based on the mark to market observable interest rate yield curves commensurate with the terms of the financial instrument (note 6). Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated, or no longer qualifies for hedge accounting.

(m) Revenue recognition

Revenue from the sale of architectural building products is measured based on the consideration specified in the invoice with a customer and excludes amounts collected on behalf of third parties. Revenue is recognized when the Company satisfies its performance obligation and control of the goods is transferred to the customer generally when the customer has taken delivery of the goods. The transaction price is reduced by estimates of variable consideration such as volume rebates.

(n) Income taxes

Income tax expense comprises current and deferred tax and is recognized in net income or loss except to the extent that it relates to items recognized directly in equity or in other comprehensive income. Current income tax is the expected tax payable on the taxable income for the year, and any adjustment to income tax payable in respect of the previous years.

Deferred tax is recognized by the Company and its subsidiaries in respect of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset only when the Company has a legally enforceable right and intention to set off current tax assets and liabilities from the same taxation authority.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

(o) Share based compensation

The Company has a share based long-term incentive plan to its officers and senior employees. At the discretion of the Board of Directors, the Restricted Shares and Performance Shares to which a grantee is entitled may be settled by the Company in common shares (“Shares”) or in an amount of cash equal to the fair market value of such Shares, or a combination of the foregoing. The Company is accounting for half of the Restricted Shares and Performance Shares as employee equity settled awards whereby the compensation cost is determined based on the grant date fair value and is recognized as an expense with a corresponding increase to contributed surplus in equity over the period that the employees unconditionally become entitled to payment.

For the other half, which can be settled in cash or shares at the employee’s option, the Company treats them as cash-settled awards. The compensation expense is recorded over the vesting period based on the grant date fair value and re-measured at each reporting date. Changes in fair value are reflected in the share-based compensation expense. The liability for cash-settled awards is recorded in accounts payable and accrued liabilities for amounts expected to be settled within one year, and in non-current liabilities for amounts to be settled after one year.

(p) Basic and diluted earnings per share

The Company presents basic and diluted earnings per share data for its outstanding common shares. Basic earnings per share attributable to shareholders is calculated by dividing net income by the weighted average number of common shares outstanding during the reporting year. Diluted earnings per share is determined by adjusting the net income attributable to common shareholders and the weighted average number of common shares outstanding for the effects of all dilutive potential common shares.

(q) Future accounting pronouncements

In April 2024, the International Accounting Standards Board issued IFRS 18 Presentation and Disclosure in Financial Statements (“IFRS 18”), which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces a new structure for the income statement by requiring income and expenses to be presented into five defined categories based on the Company’s main business activities and by specifying newly defined totals and subtotals. Where company-specific measures related to the income statement are provided, IFRS 18 requires companies to disclose explanations around these measures, which are referred to as management-defined performance measures. IFRS 18 also provides additional guidance on principles of aggregation and disaggregation which apply to the primary financial statements and note disclosures. IFRS 18 will not affect the recognition and measurement of items in the financial statements or the classification of items in other comprehensive income. The standard is effective for reporting periods beginning on or after January 1, 2027, and require retrospective application. The Company is currently in the process of assessing the impact of this new standard.



Novo Building Products – Zeeland, MI



4. Acquisition

Acquisition of Woolf Distributing Co. Inc. (“Woolf”)

On July 29, 2024 (the “Acquisition Date”), the Company, through one of its wholly owned subsidiaries, acquired substantially all of the assets and assumed certain working capital liabilities of Woolf. Woolf is a value-added distributor of architectural building and millwork products to customers in the residential and commercial markets. Woolf operates four facilities located in Northern and Central Illinois, and Northern Wisconsin. At the Acquisition Date, the Company entered into leases of the facilities through which Woolf operates.

The total purchase price of \$131.8 million consisted of \$118.7 million of cash paid at closing, \$11.3 million in deferred consideration and \$1.9 million as the fair value of contingent consideration. The acquisition was financed by the Company’s existing credit facilities. Of the deferred amount, \$7.8 million is included in non-current other liabilities and \$3.5 million was paid before December 31, 2024. The contingent consideration relates to an earn-out of \$5.0 million per annum that may be payable related to each of the calendar years ending 2024, 2025, and 2026, contingent upon achieving certain earnings performance targets. The contingent consideration was measured at fair value using the Black-Scholes option pricing model and is recorded in non-current other liabilities.

The acquisition is accounted for as a business combination using the acquisition method, with the Company being the acquirer and Woolf being the acquiree, and where the assets acquired and liabilities assumed are recorded at their fair values at the acquisition date.

The Company incurred \$1.9 million in transaction costs which have been included in selling, distribution and administration expenses in the consolidated statements of comprehensive income for the year ended December 31, 2024.

Preliminary fair value of assets acquired and liabilities assumed

	US\$
Cash consideration	\$ 118,750
Deferred consideration	11,250
Fair value of contingent consideration	1,870
Total purchase consideration	131,870
Assets acquired and liabilities assumed:	
Accounts and other receivables	18,467
Inventories	23,194
Prepaid and other assets	30
Property, plant and equipment	3,782
Right-of-use assets	9,101
Accounts payable and accrued liabilities	(2,891)
Lease obligation	(9,101)
Identifiable net assets acquired	42,582
Goodwill	19,368
Customer relationships	60,570
Trademarks	9,350
Net assets acquired	\$ 131,870

The above is a preliminary estimate of the fair value of the assets acquired and liabilities assumed of Woolf as of the Acquisition Date. The estimate will remain preliminary until the Company is able to finalize the fair value of the other assets acquired and liabilities assumed. The final determination of the fair value of the assets acquired and liabilities assumed, which is expected to be no later than one year from the Acquisition Date, could differ significantly from the amounts presented above.

The Company engaged a valuations expert to assist with the determination of estimated fair value for acquired working capital, property, plant and equipment and intangible assets.

The Company applied the multi-period excess earnings model in determining the fair value of the customer relationship intangible asset recognized in the Woolf acquisition. The multi-period excess earnings model

considers the present value of incremental after-tax cash flows expected to be generated by the customer relationship after deducting contributory asset charges. The significant assumptions used in applying the valuation technique include: the revenue forecasts relating to Woolf’s existing customers at the time of the acquisition, the estimated customer attrition rates, forecasted earnings before interest, tax, depreciation and amortization (“EBITDA”) margin and the discount rate.

The Company applied the royalty method in determining the fair value of the trademarks intangible asset recognized in the Woolf acquisition. The royalty method determines the future economic benefit of owning a trademark by determining the amount that a company would have to pay as royalty to a third party to license it. The amount is estimated by applying a fair market royalty rate to the projected revenue stream associated with the trademark intangible asset. The significant assumptions used in applying the valuation technique include: the forecasted revenues related to trademark, royalty rate, and discount rate.

The goodwill of \$19.4 million represents the excess of purchase price compared to the estimate of fair values of the identifiable assets and liabilities assumed. The goodwill recognized is primarily attributed to expected synergies arising from the Woolf acquisition, including the expertise and reputation of the assembled management and workforce and product cross selling opportunities.

The goodwill and intangible assets are deductible for US income tax purposes.

The Company adjusts preliminary amounts recognized at the acquisition date when new information is obtained during the measurement period about facts and circumstances that existed as of the acquisition date. Such adjustments, which reflect conditions present at the acquisition date, are recorded retrospectively.

Had the acquisition occurred on January 1, 2024, management estimates that the Company’s pro-forma consolidated sales would have been approximately \$2.3 billion and pro-forma income before income taxes would have been approximately

\$61.0 million for the year ended December 31, 2024. Included in these consolidated financial statements for the year ended December 31, 2024 are sales of \$65.7 million and income before tax of \$2.7 million relating to Woolf.

As of December 31, 2024, the fair value of the contingent consideration has been remeasured to \$1.5 million. This remeasurement reflects updated expectations regarding the achievement of the specified earnings performance targets for the calendar years ending 2025, and 2026. The fair value was determined using the Black-Scholes option pricing model and is recorded in non-current other liabilities.





5. Capital management

The Company's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future growth of the business. The Company considers its capital to be bank indebtedness (net of cash) and shareholders' equity.

The Company's capitalization is as follows:

	December 31, 2024	December 31, 2023
Cash	\$ (28,111)	\$ (3,643)
Bank indebtedness	410,536	392,396
Shareholder's equity	634,572	526,867
Total capitalization	\$ 1,016,997	\$ 915,620

The terms of the Company's credit facilities are described in note 13. The terms of the agreements with the Company's lenders provide that distributions cannot be paid by its subsidiaries in the event that its subsidiaries do not meet certain credit ratios. The Company's operating subsidiaries were compliant with all required credit ratios under their credit facilities as at December 31, 2024 and December 31, 2023. Accordingly, there were no restrictions on distributions arising from non-compliance with financial covenants.

Dividends and share repurchases are some of the ways the Company manages its capital. Dividends are declared and shares are repurchased after consideration of a variety of factors including the outlook for the business and financial leverage.

The Company declared the following common share dividends during the year ended December 31, 2024:

Declaration date	Record date	Payment date	Cash dividend per common share	Total common dividend amount
March 15, 2024	April 15, 2024	April 26, 2024	C\$ 0.14	\$ 2,321
May 8, 2024	July 15, 2024	July 26, 2024	C\$ 0.14	\$ 2,556
August 8, 2024	October 15, 2024	October 25, 2024	C\$ 0.14	\$ 2,565
November 13, 2024	January 20, 2025	January 31, 2025	C\$ 0.15	\$ 2,686

On March 13, 2025, the Company declared a cash dividend of CAD\$0.15 per common share to shareholders of record as of April 14, 2025, to be paid on April 25, 2025.

6. Financial instruments

Financial instrument assets include cash and cash equivalents and current and non-current receivables which are designated as subsequently measured at amortized cost, and investments which are designated as fair value through profit or loss (FVTPL). Non-derivative financial instrument liabilities include bank indebtedness, accounts payable and accrued liabilities, income taxes payable, dividend payable, lease obligations and other liabilities. All financial liabilities, except for interest rate swaps, are designated as subsequently measured at amortized cost. Interest rate swaps are measured at fair value.

Fair value hierarchy

IFRS 13 establishes a three-tier fair value hierarchy, which prioritizes the inputs used in measuring fair value. The three levels of the fair value hierarchy are as follows:

Level 1 - Unadjusted quoted prices in active markets that are accessible at the measurement date for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly, for substantially the full contractual term.

Level 3 - Inputs for the asset or liability are not based on observable market data.
The Company's cash and cash equivalents and

investments are classified as level 1 and all other financial instruments are classified as level 2 of the fair value hierarchy.

Fair values of financial instruments

The carrying values of cash and cash equivalents, accounts and other receivables, income taxes receivable, dividend payable and accounts payable and accrued liabilities approximate their fair values due to the relatively short period to maturity of the instruments. The fair value of non-current receivables and investments, other liabilities and lease obligations are not expected to differ materially from their respective carrying values, with the exception of the interest rate swap. Interest rate swap is recognized at fair value. The carrying values of the credit facilities approximate their fair values due to the existence of floating market based interest rates.

Financial risk management

The Board of Directors of the Company and its subsidiaries has the overall responsibility for the establishment and oversight of the Company's risk management framework. The Company's regularly reviews and analyzes the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits.

The Company has exposure to credit, liquidity and market risks from its use of financial instruments.

(i) Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations. Credit risk arises principally from the Company’s cash held at banks, and current and non-current receivables and investments. The carrying value of these financial assets, which total \$241.4 million at December 31, 2024 (December 31, 2023 - \$200.8 million), represents the Company’s maximum exposure to credit risk.

Trade accounts receivable

The Company’s exposure to credit risk is influenced mainly by the individual characteristics of each customer. The Company is exposed to credit risk in the event it is unable to collect in full amounts receivable from its customers. The Company employs established credit approval practices and engages credit attorneys when appropriate to mitigate credit risk. The Company attempts to secure credit advanced to customers whenever possible by registering security interests in the assets of the customer and by obtaining personal guarantees. Credit limits are established for each customer and are regularly reviewed. In some instances the Company may choose to transact with a customer on a cash-on-delivery basis. The Company’s largest individual customer balance amounted to 9.2% (December 31, 2023 - 6.9%) of trade accounts receivable at December 31, 2024.

More detailed information regarding management of trade accounts receivable is found in note 7 to these consolidated financial statements.

Cash and cash equivalents, investments, and interest rate swap

Cash and cash equivalents and investment balances are maintained with high credit quality financial institutions. The Company does not believe there is any material credit risk associated with cash and cash equivalents, investments, and interest rate swap.

(ii) Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The Company’s approach to managing liquidity is to ensure that it will have sufficient cash available to meet its liabilities when due. At December 31, 2024, certain subsidiaries of the Company had credit facility of up to \$816.3 million in revolving credit and term loans. The revolving credit facility can be drawn down to meet short-term financing requirements.

The amounts made available under the credit facility are limited to the continued compliance with financial covenants and certain other terms under the credit facility. See note 13 for further information regarding the Company’s credit facility and borrowing capacity.

The Company’s accounts payable and accrued liabilities are subject to normal trade terms and have contracted maturities that generally result in payment in the following quarter. The undiscounted contractual maturities of lease obligations are presented in note 10 to these consolidated financial statements.

(iii) Market risk

Market risk is the risk that changes in market prices, such as interest rates, foreign exchange rates, and commodity prices will affect the Company’s net earnings or value of its holdings of financial instruments.

Interest rate risk

The Company is exposed to interest rate risk on its credit facility which bears interest at floating market rates. Based upon the December 31, 2024 bank indebtedness balance of \$410.5 million, a 1% increase or decrease in the interest rates charged would result in a decrease or increase to net income after tax by approximately \$3.0 million.

Interest rate swap

On July 11, 2023, the Company entered into an interest rate swap with a notional value of \$200 million to offset the variability in the expected interest cash flows related to the Term A-1 loan (note 13). The fixed rate provided to the Company by the interest rate swap is approximately 33 basis points less than the variable borrowing rate as at December 31, 2024. The following table summarizes the changes in fair value of the interest rate swap relating to the effective portion for the year ended December 31, 2024 recorded in accumulated other comprehensive income. The Company recognized a \$0.3 million interest rate swap asset which is included in non-current receivables and investments on the consolidated statements of financial position. The interest rate swap was determined to be effective as a cash flow hedge against the designated interest rate exposure.

	Accumulated change in fair value
Balance as at December 31, 2023	\$ (2,570)
Gain on interest rate swap recognized in other comprehensive income, net of \$913 tax expense	2,599
Balance as at December 31, 2024	\$ 30

Currency risk

As the Company conducts business in both the United States and Canada it is exposed to currency risk. Most of the products sold by the Company in Canada are purchased in US dollars. The Company reports its financial results in US dollars, although approximately 8% of its sales are generated in Canada. Changes in the currency exchange rates of the US dollar against the Canadian dollar will affect the results presented in the Company’s financial statements and cause its earnings to fluctuate.

At December 31, 2024, the primary exposure to foreign denominated financial instruments was in the Company’s Canadian subsidiaries and relates to US dollar cash balances and accounts receivable from US customers (2024 - \$5.0 million, 2023 - \$1.3 million),

accounts payable to US suppliers (2024 - \$0.8 million, 2023 - \$1.5 million), intercompany receivables from US related parties (2024 - \$22.9 million, 2023 - \$49.2 million) and US denominated bank indebtedness (2024 - nil, 2023 - nil).

Based on the Company’s Canadian subsidiaries’ exposure to foreign denominated financial instruments, the Company estimates a \$0.05 weakening or strengthening in the US dollar as compared to the Canadian dollar would not have a material effect on net income for the years ended December 31, 2024 or December 31, 2023.

This foreign currency sensitivity is focused solely on the currency risk associated with the Company’s Canadian subsidiaries exposure to foreign denominated financial instruments as at December 31, 2024 and December 31, 2023 and does not take into account the effect a change in currency rates will have on the translation of the balance sheet and operations of the Company’s Canadian subsidiaries nor is it intended to estimate the potential impact changes in currency rates would have on the Company’s sales and purchases.

Commodity price risk

The Company does not enter in to any commodity contracts. Inventory purchases are transacted at current market rates based on expected usage and sale requirements and increases or decreases in prices are reflected in the Company’s selling prices to customers.

7. Receivables and investments

The following is a breakdown of the Company's current and non-current receivables and investments and represents the Company's principal exposure to credit risk.

	Notes	December 31, 2024	December 31, 2023
Current receivables and investments:			
Trade receivables		\$ 159,655	\$ 162,434
Short-term investments		5,634	9,361
Sundry receivables		19,704	17,362
		\$ 184,993	\$ 189,157
Non-current receivables and investments:			
Non-current investments		10,158	5,486
Deposits		17,796	2,425
Interest rate swap	6	274	—
Other non-current receivables		81	69
		\$ 28,309	\$ 7,980

The aging of trade accounts receivables is as follows:

	December 31, 2024	December 31, 2023
Current		
1 - 30 days past due	\$ 128,445	\$ 130,459
31 - 60 days past due	22,611	25,342
60+ days past due	5,598	5,649
	4,937	3,780
Gross trade account receivables	161,591	165,230
Less: allowance for credit loss		
	(1,936)	(2,796)
	\$ 159,655	\$ 162,434

The Company determines its allowance for credit loss using both specific identification of customer accounts and the expected credit loss model. For the year ended December 31, 2024, net bad debt expense was \$1.5 million (for the year ended December 31, 2023 - \$2.0 million)

8. Inventories

	December 31, 2024	December 31, 2023
Raw materials	\$ 6,174	\$ 5,660
Work in process	691	417
Goods in-transit	15,733	15,626
Finished goods	353,120	344,074
	\$ 375,718	\$ 365,777

The Company regularly reviews and assesses the condition and value of its inventories and records write-downs to net realizable value as necessary. Inventory related expenses are included in the consolidated statements of comprehensive income. Inventory write-downs, net of recoveries, included in the cost of goods sold for the year ended December 31, 2024 were \$5.4 million (for the year ended December 31, 2023 - \$10.1 million)

9. Property, plant and equipment

	Land	Buildings, machinery and equipment	Leasehold improvements	Total
Cost				
Balance at January 1, 2023	\$ 474	\$ 54,215	\$ 5,168	\$ 59,857
Additions	—	9,748	981	10,729
Disposals	—	(1,991)	(115)	(2,106)
Adjustments:				
Foreign currency translation	—	86	22	108
Balance at December 31, 2023	474	62,058	6,056	68,588
Additions	—	6,953	1,247	8,200
Acquisition of Woolf (note 4)	—	3,782	—	3,782
Disposals	—	(2,193)	(94)	(2,287)
Adjustments:				
Foreign currency translation	—	(307)	(80)	(387)
Balance at December 31, 2024	\$ 474	\$ 70,293	\$ 7,129	\$ 77,896
Accumulated depreciation				
Balance at January 1, 2023	\$ —	\$ 21,784	\$ 1,957	\$ 23,741
Depreciation	—	7,390	996	8,386
Disposals	—	(1,624)	(114)	(1,738)
Adjustments:				
Foreign currency translation	—	50	15	65
Balance at December 31, 2023				
Depreciation	—	27,600	2,854	30,454
Disposals	—	7,315	1,200	8,515
Adjustments:	—	(1,838)	(171)	(2,009)
Foreign currency translation	—	(193)	(59)	(252)
Balance at December 31, 2024	\$ —	\$ 32,884	\$ 3,824	\$ 36,708
Net book value:				
January 1, 2023	\$ 474	\$ 32,431	\$ 3,211	\$ 36,116
December 31, 2023	\$ 474	\$ 34,458	\$ 3,202	\$ 38,134
December 31, 2024	\$ 474	\$ 37,409	\$ 3,305	\$ 41,188

Depreciation of property, plant and equipment for the year ended December 31, 2024 was \$8.5 million (2023 - \$8.4 million) and is included in the consolidated statements of comprehensive income as follows:

	2024	2023
Cost of good sold	\$ 2,944	\$ 2,560
Operating expenses	5,571	5,826
	\$ 8,515	\$ 8,386

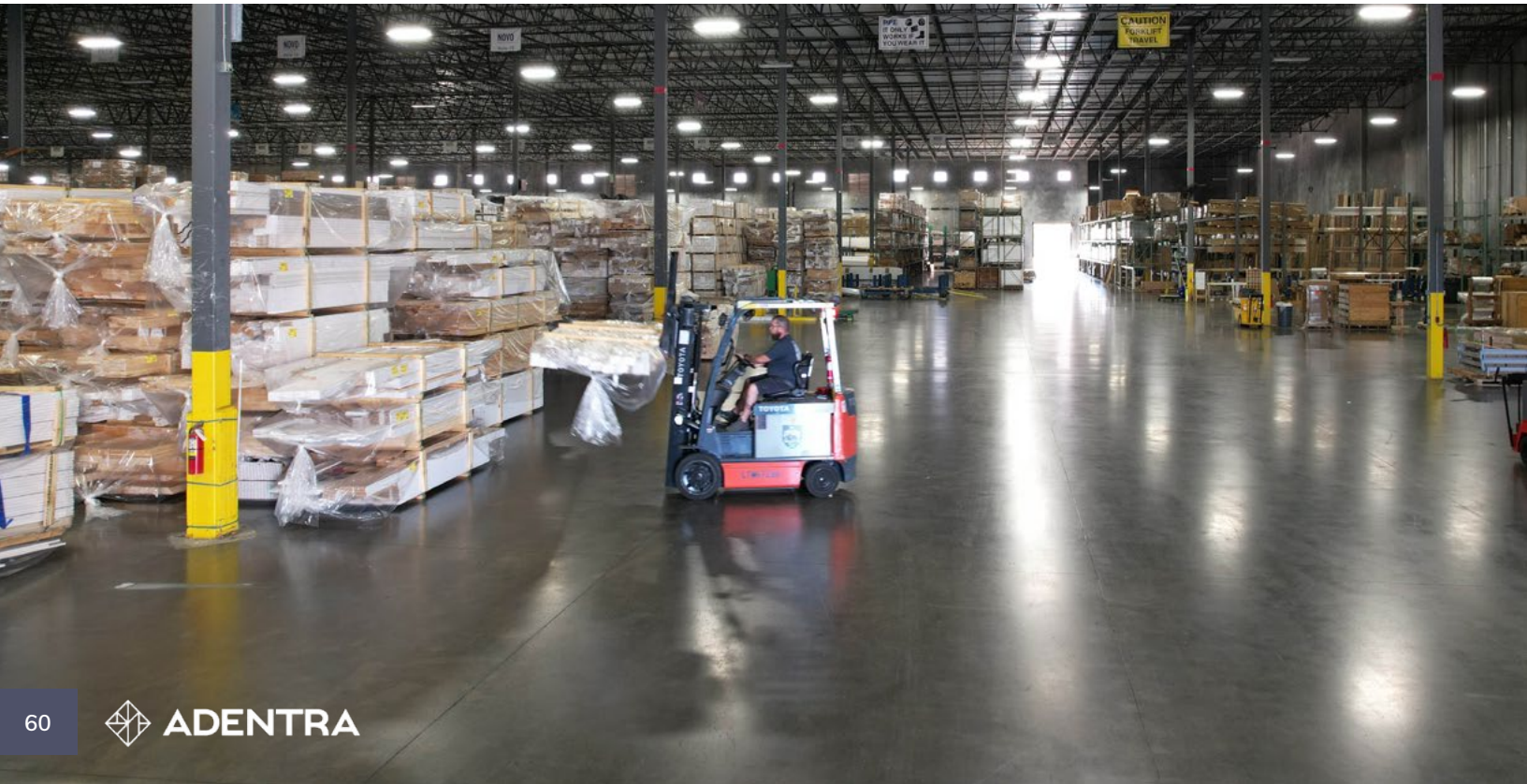
Gains and losses on disposal of property, plant and equipment for the year ended December 31, 2024 was a net loss of \$0.1 million (2023 - net gain \$0.1 million) and is included in selling and distribution expenses in the consolidated statement of comprehensive income.

10. Leases

The Company leases assets including buildings, automobiles, forklifts and office equipment. Information about leases for which the Company is a lessee is presented below.

Right-of-use assets

	Buildings	Automobiles	Forklifts	Office equipment	Total
Balance at January 1, 2023	\$ 137,331	\$ 18,447	\$ 2,720	\$ 363	\$ 158,861
Additions	30,393	5,229	1,158	346	37,126
Disposals	(475)	(160)	(12)	(30)	(677)
Depreciation	(29,894)	(7,118)	(1,125)	(281)	(38,418)
Adjustments:					
Foreign currency translation	192	11	—	—	203
Balance at December 31, 2023	137,547	16,409	2,741	398	157,095
Additions	78,795	8,397	1,948	407	89,547
Acquisition of Woolf (note 4)	9,101	—	—	—	9,101
Disposals	(15,698)	(646)	(122)	(104)	(16,570)
Depreciation	(33,527)	(7,067)	(1,279)	(190)	(42,063)
Adjustments:					
Foreign currency translation	(954)	(55)	—	—	(1,009)
Balance at December 31, 2024	\$ 175,264	\$ 17,038	\$ 3,288	\$ 511	\$ 196,101



Lease liabilities

	December 31, 2024	December 31, 2023
Maturity analysis - contractual undiscounted cash flows		
Less than one year	\$ 49,038	\$ 39,262
One to five years	158,015	116,349
More than five years	41,388	39,464
Total undiscounted lease liabilities	\$ 248,441	\$ 195,075
Lease liabilities included in the statement of financial position	\$ 212,530	\$ 171,633
Current	\$ 39,305	\$ 34,309
Non-current	173,225	137,324

11. Intangible assets

	Internally generated software	Customer relationships	Trademarks	Total
Cost				
Balance at January 1, 2023	\$ 7,122	\$ 285,063	\$ 26,600	\$ 318,785
Additions	1,146	—	—	1,146
Adjustments:				
Foreign currency translation	7	—	—	7
Balance at December 31, 2023	8,275	285,063	26,600	319,938
Additions	1,007	—	—	1,007
Acquisition of Woolf	—	60,570	9,350	69,920
Adjustments:				
Foreign currency translation	(39)	—	—	(39)
Balance at December 31, 2024	\$ 9,243	\$ 345,633	\$ 35,950	\$ 390,826
Accumulated amortization				
Balance at January 1, 2023	\$ 666	\$ 33,649	\$ 2,470	\$ 36,785
Amortization	947	19,890	2,216	23,053
Adjustments:				
Foreign currency translation	2	—	—	2
Balance at December 31, 2023	1,615	53,539	4,686	59,840
Amortization	1,408	21,572	2,541	25,521
Adjustments:				
Foreign currency translation	6	—	—	6
Balance at December 31, 2024	\$ 3,029	\$ 75,111	\$ 7,227	\$ 85,367
Net book value:				
January 1, 2023	\$ 6,456	\$ 251,414	\$ 24,130	\$ 282,000
December 31, 2023	\$ 6,660	\$ 231,524	\$ 21,914	\$ 260,098
December 31, 2024	\$ 6,214	\$ 270,522	\$ 28,723	\$ 305,459

12. Goodwill

Balance at January 1, 2023	\$ 180,250
Acquired through acquisitions	878
Balance at December 31, 2023	\$ 181,128
Acquired through acquisitions (Note 4)	19,368
Balance at December 31, 2024	\$ 200,496

For the year ended December 31, 2024 the recoverable amounts of the CGU's were based on value in use by discounting five-year cash flows from their continued use. The key assumptions, including a gross margin range between 18% - 25.5%, reflect management's assessment of future trends using historical data and anticipated future performance using internal and external sources. Goodwill has been allocated to specific groups of CGU's, each with its own discount rate, as shown in the table below:

	2024		2023	
	Post-tax discount rate	Goodwill	Post-tax discount rate	Goodwill
Woolf	9.8%	\$ 19,368	— %	\$ —
Rugby	9.8%	55,602	9.8%	55,602
Mid-Am	8.8%	66,237	10.8%	66,237
Novo	10.8%	52,680	10.8%	52,680
Other	9.8%	6,609	9.8%	6,609
		\$ 200,496		\$ 181,128

The estimated recoverable amounts for the CGU's exceeded their carrying amounts, and as a result the goodwill is not impaired as at December 31, 2024.

13. Bank indebtedness

	December 31, 2024	December 31, 2023
Credit Facility		
Revolving credit loan	\$ 91,691	\$ 33,712
Term A-1 loan	316,250	356,250
Deferred financing fees	(2,879)	(4,737)
Checks issued in excess of funds on deposit	5,474	7,171
	\$ 410,536	\$392,396
Less: Current portion of bank indebtedness	\$ 115,347	\$ 59,050
Total long-term bank indebtedness	\$ 295,189	\$ 333,346

Credit Facility (the “Credit Facility”)

The Credit Facility consists of a \$500 million revolving credit facility and a \$400 million term loan, both maturing in July 2026. The Credit Facility bears interest at a rate equal to the Secured Overnight Financing Rate (“SOFR”) plus up to 2.25% or the lender’s base rate plus up to 1.25%. The Company entered into a \$200 million interest rate swap (note 6) to manage interest rate variability.

The financial covenants under the Credit Facility include, among others: (i) a consolidated interest coverage ratio (a ratio of adjusted EBITDA to total interest expense, determined on a consolidated basis of the Company), and (ii) a consolidated leverage ratio (a ratio of total funded debt to adjusted EBITDA, determined on a consolidated basis of the Company). As at December 31, 2024, the Company is in compliance with these financial covenants.

On January 27, 2025 certain subsidiaries of the Company extended the existing credit arrangement with Bank of America, N.A. and a syndicate of lenders for five years to January 27, 2030. The extended credit facilities consist of (i) a revolving credit facility of up to \$600 million, and (ii) a term loan of \$225 million with an amortizing balance and maturity date of January 27, 2030. There are no changes to the interest rate terms or financial covenants within the extended credit facilities compared to the existing terms.

14. Share capital

(a) Share capital

At December 31, 2024, the authorized share capital of the Company comprised an unlimited number of common shares without par value.

A continuity of share capital is as follows:

	Shares	Total
Balance at December 31, 2022	22,694,088	\$ 168,451
Issued pursuant to long term incentive plan	158,307	2,362
Shares repurchased	(421,811)	(2,853)
Balance at December 31, 2023	22,430,584	\$ 167,960
Issued pursuant to long term incentive plan	50,852	658
Equity offering, net of share issuance costs of \$3,561	2,582,900	69,458
Balance at December 31, 2024	25,064,336	\$ 238,076



Equity Raise Public Offering

On June 12, 2024, the Company issued in aggregate 2,582,900 common shares at a price of \$28.27 (C\$38.75) per common share through a bought deal treasury public offering (“Equity Raise”) resulting in gross proceeds of \$73.1 million (C\$100.1 million). The Company incurred \$3.6 million (C\$4.9 million) in share issuance costs and these amounts were recorded in equity. Total net proceeds from the Equity Raise was \$69.5 million (C\$95.2 million) after transaction costs. Proceeds from the Equity Raise were used to repay certain bank indebtedness of the Company.

Normal Course Issuer Bid (“NCIB”)

On December 28, 2023, the Company announced it will renew its normal course issuer bid (NCIB) to buy back up to 1,702,309 common shares from January 2, 2024, to December 31, 2024, through the TSX and alternative trading systems. This approximates 10% of the Company’s public float as of December 19, 2023. No shares were repurchased in 2024 (2023: 421,811 shares repurchased).

On December 30, 2024, the Company announced it will renew its NCIB to buy back up to 2,391,609 common shares from January 2, 2025, to December 31, 2025, through the TSX and alternative trading systems. This approximates 10% of the Company’s public float as of December 19, 2024.

(b) Long Term Incentive Plan (“LTIP”)

A continuity of the LTIP awards outstanding is as follows:

	Performance Shares	Restricted Shares
Balance at December 31, 2022	229,325	213,984
LTIP awards issued during the year	100,302	178,733
LTIP shares settled during the year	(101,582)	(149,084)
Balance at December 31, 2023	228,045	243,633
LTIP awards issued during the year	101,737	151,698
LTIP shares settled during the year	(82,716)	(121,007)
Balance at December 31, 2024	247,066	274,324

LTIP compensation expense of \$9.3 million was recognized in the consolidated statements of comprehensive income for the year ended December 31, 2024 (December 31, 2023 - \$7.4 million). The equity classified portion of the LTIP compensation expense was \$3.0 million for the year ended December 31, 2024 (December 31, 2023 - \$3.4 million) and the liability classified expense was \$6.3 million (December 31, 2023 - \$4.0 million).

The key estimate in determining the compensation in any period is whether or not the performance criteria were met and the resulting amount of the payout multiplier on the Performance Shares. The payout

multiplier is reviewed and approved by the Company’s compensation committee on an annual basis. The liability associated with the cash-settled awards is recorded in accounts payable and accrued liabilities for amounts expected to be settled within one year, and in other liabilities for amounts to be settled after one year.

(c) Weighted average shares

Basic net earnings per share is calculated by dividing the net income for the year ended December 31, 2024 of \$46.5 million (December 31, 2023 - \$36.0 million) over the weighted average number of common shares outstanding in each of the reporting periods. Basic and diluted weighted average common shares in each of the reporting periods were as follows:

	December 31, 2024	December 31, 2023
Issued ordinary shares at beginning of year	22,430,584	22,694,088
Effect of shares repurchased	—	(363,648)
Effect of shares issued during the year:		
Pursuant to long-term incentive plan	4,025	55,678
Pursuant to equity offering	1,432,592	—
Weighted average common shares - basic	23,867,201	22,386,118
Effect of dilutive securities:		
Long-term incentive plan	279,331	238,741
Weighted average common shares - diluted	24,146,532	22,624,859

15. Income taxes

	2024	2023
Current tax expense	\$ (5,664)	\$ (3,846)
Deferred tax expense	(3,152)	(3,005)
	\$ (8,816)	\$ (6,851)

Under current income tax regulations, subsidiaries of the Company are subject to income taxes in the United States and Canada. The applicable statutory rate in the United States for the year ended December 31, 2024 is 27.4% (2023 - 27.7%) and in Canada is 26.3% (2023 - 26.1%). The majority of the Company’s tax expense is generated from its US subsidiaries, and as such the Company reconciles its consolidated income tax expense to the statutory tax rate applicable to the United States.

For the year ended December 31, 2024, the Company is also subject to the Organization for Economic Co-operation and Development (OECD) Pillar Two global minimum tax rules which apply a 15% minimum effective tax rate to multinational enterprises with annual revenue exceeding EUR 750 million. The Company recognizes current tax liabilities for Pillar Two top-up tax in accordance with IAS 12 Income Taxes when it is probable that a liability will arise. The Company has calculated jurisdiction level effective tax rates (ETRs) as required under Pillar Two rules and has identified a top-up tax liability in certain jurisdictions where the ETR falls below 15% of \$2.7 million, which is included as part of current tax expense.

The following table provides a detailed reconciliation of the effective tax rate to the statutory tax rate, highlighting key differences and adjustments for the reporting period:

	2024	2023
Income before income taxes	\$ 55,294	\$ 42,899
Statutory rate	27.4%	27.7%
Computed tax expense at statutory rate	(15,151)	\$ (11,883)
Effect of tax rate differentials and other restructuring	9,206	12,217
Non-deductible expenses	(342)	(2,415)
Prior year tax true-ups	578	1,267
Change in unrecognized deferred tax assets	(2,084)	(5,728)
OECD pillar two global minimum tax	(2,730)	—
Other	1,707	(309)
Income tax expense	\$ (8,816)	\$ (6,851)



	2024	2023
Deferred tax assets	\$ 5,456	\$ 3,632
Deferred tax liabilities	(6,302)	—
	\$ (846)	\$ 3,632
The tax effect of temporary differences that give rise to significant portions of the deferred income tax assets and liabilities is as follows:		
	December 31, 2024	December 31, 2023
Deferred tax assets:		
Accounts receivable	\$ 549	\$ 869
Accounts payable and provisions	3,570	7,463
Inventories	5,456	6,356
Goodwill and intangibles	1,105	1,276
Lease obligations, net	7,777	6,018
Tax loss carry forwards and future interest deductions	5,083	1,262
Interest rate swap	—	903
Share and debt issuance costs	163	158
Other	28	61
	23,731	24,366
Deferred tax liabilities:		
Prepaid expenses	(1,551)	(1,319)
Property, plant and equipment	(10,649)	(10,365)
Goodwill and intangibles	(11,557)	(9,050)
Interest rate swap	(10)	—
Other	(810)	—
	(24,577)	(20,734)
Deferred tax (liabilities) assets	\$ (846)	\$ 3,632

Deferred tax assets and liabilities are measured at the substantively enacted rates expected to apply at the time such temporary differences are forecast to reverse. At December 31, 2024, the Company's Canadian subsidiaries have operating loss carry forwards for income tax purposes of CAD\$37.0 million (December 31, 2023 - CAD\$37.3 million). These operating losses begin to expire in 2042. The operating loss of CAD\$9.2 million (December 31, 2023 - CAD\$30.9 million) and associated deferred income tax asset of CAD\$2.4 million (December 31, 2023 - CAD\$8.1 million) with these operating losses has not been recorded because it is not probable that future taxable income will be generated to utilize the benefit. Operating loss carry forwards of CAD\$27.8 million are expected to be utilized against future

earnings and the associated deferred income tax asset recorded was CAD\$7.3 million (December 31, 2023 - CAD\$1.7 million).

At December 31, 2024, the Company and its Canadian subsidiaries have capital losses of approximately CAD\$19.8 million (December 31, 2023 - CAD\$19.8 million), and suspended capital losses of approximately CAD\$44.7 million (December 31, 2023 - CAD\$44.7 million) available to offset future Canadian taxable capital gains. These capital losses arose as a result of internal restructuring and inter-entity transactions during the year ended December 31, 2009. The deferred income tax asset of CAD\$8.9 million (December 31, 2023 - CAD\$8.9 million) associated with these capital losses has not been recorded

because it is not probable that future taxable capital gains will be generated to utilize the benefit.

In May 2024, Canada substantively enacted the Excessive Interest and Financing Expenses Limitation ("EIFEL") legislation. The EIFEL legislation is effective for taxation years beginning on or after October 1, 2023 and is expected to limit the Company's ability to deduct interest and financing expenses in future periods. Under this new legislation, the Company has excess interest expense carried forward of \$40.7 million, and associated deferred income tax asset of \$10.7 million has not been recorded because it is not probable that future interest income will be generated to utilize the benefit.

The Company's US subsidiaries do not have operating loss carry forwards for income tax purposes (December 31, 2023 -nil).

16. Finance income and expense

	2024	2023
Finance income (expense):		
Interest expense on bank indebtedness	\$ (30,082)	\$ (37,009)
Receivables financing expense	(4,970)	(5,655)
Accretion of lease obligation	(8,347)	(6,440)
Foreign exchange income (loss)	874	(927)
Other finance income	911	625
Net finance expense	\$ (41,614)	\$ (49,406)



17. Segment reporting

Information about geographic areas is as follows:

	2024	2023
Revenue from external customers:		
Canada	\$ 172,363	\$ 169,664
United States	2,011,895	2,069,660
	\$ 2,184,258	\$ 2,239,324
	December 31, 2024	December 31, 2023
Non-current assets ⁽¹⁾ :		
Canada	\$ 15,355	\$ 10,958
United States	727,889	625,497
	\$ 743,244	\$ 636,455

⁽¹⁾ Excludes financial instruments and deferred income taxes.

18. Employee remuneration

(a) Employee benefits expense

Expenses recognized for employee benefits are summarized below.

	2024	2023
Wages, salaries and benefits	\$ 258,944	\$ 239,655
Pensions-defined contribution plans	3,874	3,702
LTIP share-based compensation	9,309	7,440
	\$ 272,127	\$ 250,797

Employee benefit expenses are included in the consolidated statements of comprehensive income as follows:

	2024	2023
Cost of goods sold	\$ 44,831	\$ 40,782
Selling, distribution, and administration	227,296	210,015
	\$ 272,127	\$ 250,797

(b) Pensions

Certain of our subsidiaries maintain defined contribution 401(k) retirement savings plans (“Plans”). The assets of these Plans are held and related investment transactions are executed by the Plans’ Trustees who are third parties and, accordingly, are not reflected in these consolidated financial statements. During the year ended December 31, 2024, the Company contributed and expensed \$3.4 million (December 31, 2023 - \$3.3 million) in relation to these Plans.

19. Related party transactions

The Company’s related parties include key management personnel and post-employment benefit plans for the employees of the Company’s subsidiaries.

(a) Transactions with key management personnel

Key management of the Company includes members of the Board of Directors, the President and Chief Executive Officer, Chief Financial Officer, and executive team members who report directly to the Chief Executive Officer. Key management personnel remuneration includes the following expenses:

	2024	2023
Short-term employee benefits:		
Salaries and benefits including bonuses	\$ 7,263	\$ 6,243
LTIP share compensation	4,619	5,447
Automobile benefit	85	92
Total remuneration	\$ 11,967	\$ 11,782

(b) Transactions with post-employment benefit plans

The defined contribution plans referred to in note 18(b) are related parties of the Company. The Company’s transactions with the pension plans include contributions paid to the plans, which are disclosed in note 18(b). The Company has not entered into other transactions with the pension plans, nor has it any outstanding balances at December 31, 2024 or December 31, 2023.

20. Provisions

Legal

The Company and its subsidiaries are subject to legal proceedings from time to time that arise in the ordinary course of its business. Management is of the opinion, based upon information presently available, that it is unlikely that any liability, to the extent not provided for or insured, would be material in relation to the Company’s consolidated financial statements as at December 31, 2024.

Trade

On July 14, 2023, the US Department of Commerce (“Commerce”) issued its final determination (“Final Determination”) with respect to certain hardwood plywood products produced in Vietnam that they believe are circumventing a previously established anti-dumping and countervailing duty order against hardwood plywood from China (the “Circumventing Products”).

As a result of the Final Determination, the Company estimates the value of products it imported from Vietnam subject to potential duties is approximately \$7.6 million. The duty rate in this trade case is 206%, which will be applied against the \$7.6 million of products the Company imported from Vietnam. With the issuance of this Final Determination, the Company accrued duties of \$15.6 million and recorded the related impact in selling, distribution and administration expense during the year ended December 31, 2023.

The Circumventing Products are specifically defined by Commerce and the Company believes that the products it imports from Vietnam do not meet Commerce’s definition of Circumventing Products, and should therefore not be subject to duties. There are well established legal avenues to appeal Commerce’s Final Determination and the Company intends to vigorously pursue recovery of any duties paid. The appeal process is typically a multi-year procedure however and the timing and ultimate outcome of the Company’s efforts is not estimable at this time.

As at December 31, 2024, the Company has received notices to pay duties of \$25.7 million. This includes certain notices related to imports that the Company believes are outside the scope of the Final Determination. The Company is challenging these out of scope notices. While the challenge is pending, the Company has elected to pay the out of scope notices to avoid interest and penalties. As at December 31, 2024, the Company paid \$10.4 million related to the out of scope notices, which are included as an asset in the consolidated statement of financial position.

On August 7, 2024, Commerce announced the preliminary results of a further administrative review regarding the Circumventing Products. Based on these results, some of the products the Company imports that were previously categorized as Circumventing Products may no longer fall under that classification, and the Company may be eligible for a refund on a significant portion of the duties paid. In issuing its preliminary results, Commerce noted that their findings are provisional and subject to change. The Company expects Commerce to issue a final decision on the results of their administrative review in 2025.



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